



Life Association of Scotland Limited Act 1964

CHAPTER vii

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SCHEDULE—Memorandum and Articles of Association of
The Life Association of Scotland Limited.

ELIZABETH II



1964 CHAPTER vii

An Act to make provision with respect to the substitution of a memorandum and articles of association for the existing constitution of the Life Association of Scotland Limited; to confer further powers on the Association with respect to the regulation of its business and affairs; and for other purposes.

[10th June 1964]

WHEREAS—

(1) By a contract of copartnery (hereinafter called “the contract of copartnery”) dated the 23rd day of March, 1839, and various subsequent dates, and registered in the Books of Council and Session at Edinburgh on the 1st day of March, 1841, the persons therein named and designed, and thereto subscribing, formed themselves as from the 18th day of December, 1838, into a company under the name of “the Edinburgh and Glasgow Assurance, Reversion, and Trust Company” for the purpose of carrying on the business of insurances on lives and survivorships and every other business carried on by any proprietary assurance, reversion or trust company:

(2) By a royal charter (hereinafter called "the royal charter") granted by Her late Majesty Queen Victoria under the seal appointed by the Treaty of Union to be kept and used in Scotland, in place of the Great Seal formerly used there, bearing date the 26th day of April, and written to the seal, and registered and sealed the 7th day of June, both in the year 1841, the said company was incorporated by the name and style of "the Life Association of Scotland" (hereinafter called "the Association") with perpetual succession and a common seal and with a capital stock of at least £100,000 whereof at least £10,000 was to be paid up and with the other powers and privileges therein set forth:

(3) By the Life Association of Scotland Act, 1853 (hereinafter called "the Act of 1853"), the Association was of new incorporated by the same name with perpetual succession and a common seal and authorised to carry on all business which was then or might thereafter be carried on by any assurance, reversion or trust company in every part of the United Kingdom of Great Britain and Ireland and the Colonies and elsewhere with the further powers and privileges therein set forth:

(4) By resolution passed at a special meeting of the Association on the 11th day of September, 1855, the capital stock of the Association was increased to £400,000 divided into 10,000 shares of £40 each:

(5) By the Life Association of Scotland Act, 1888 (hereinafter called "the Act of 1888"), the Life Association of Scotland Act, 1903 (hereinafter called "the Act of 1903"), and a special resolution of the Association passed on the 4th day of August, 1903, in pursuance of the Act of 1903 the powers of investment of the Association were enlarged and further provisions relating to the Association enacted:

(6) By the Life Association of Scotland Act, 1920 (hereinafter called "the Act of 1920"), the objects and business of the Association were extended so as to include the business of every kind of insurance against any loss, damage or injury and other insurance or reinsurance business as therein provided:

(7) The Association was on the 31st day of October, 1963, duly registered under the Companies Act, 1948, with limited liability as the Life Association of Scotland Limited:

(8) The several businesses mentioned in the memorandum of association scheduled to this Act other than the businesses which are now being carried on by the Association can be conveniently and advantageously carried on by the Association together with its existing businesses as independent objects and it is expedient that the Association should have power so to carry on the same:

(9) It is expedient to make provision with respect to the substitution of a memorandum and articles of association in the terms set forth in the schedule to this Act for the provisions and enactments now regulating the business and affairs of the Association and accordingly to annul the contract of copartnery, the royal charter and the resolutions of the Association hereinbefore recited and all other resolutions of the Association and to repeal the Act of 1853, the Act of 1888, the Act of 1903 and the Act of 1920:

(10) For the purpose of enabling the Association to carry on its business and to conduct its affairs in accordance with present day requirements and to the best advantage it is expedient to re-enact with amendments certain of the provisions of the instruments and enactments relating to the Association annulled or repealed by this Act and to confer the further powers contained in this Act upon the Association and its directors:

(11) The nominal capital of the Association is £400,000 divided into 10,000 shares of £40 each on each of which shares there has been called up and paid the sum of £10 and it is expedient to sub-divide the existing shares of the Association into shares of smaller denomination and to make provision therefor and for the purposes aforesaid in this Act in order that the whole constitution of the Association may be set forth in this Act:

(12) The objects of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) This Act may be cited as the Life Association of Scotland Limited Act 1964. Short title
and com-
mencement.

(2) This Act shall come into operation on the 1st day of January, 1965.

2.—(1) In this Act, unless the context otherwise requires, the following words and expressions have the meanings hereby assigned to them (that is to say):—

“ the Act of 1853 ”, “ the Act of 1888 ”, “ the Act of 1903 ”
and “ the Act of 1920 ” mean the Life Association of
Scotland Acts of those respective years hereinbefore
recited;

“ the Association ” means the Life Association of Scotland
Limited;

“ the contract of copartnery ” means the contract of copartnery dated the 23rd day of March, 1839, hereinbefore recited;

“ the directors ” means the directors for the time being of the Association but does not include local directors or members of local boards appointed in pursuance of the regulations;

“ existing ” means existing immediately before the commencement of this Act;

“ the general manager ” means the general manager for the time being of the Association and includes a joint or deputy or assistant general manager and any person appointed by the directors to perform any of the duties of the general manager;

“ paid ” and “ paid-up ” in reference to the capital of a share includes credited or taken to be paid;

“ policy ” means any policy of assurance, insurance, re-assurance or re-insurance, endowment policy, bond or contract of annuity, guarantee or like obligation issued by the Association;

“ policy holder ” has the same meaning as in the Insurance Companies Act, 1958;

“ the regulations ” means the articles of association of the Association;

“ the royal charter ” means the royal charter dated the 26th day of April, 1841, hereinbefore recited;

“ the secretary ” means the secretary for the time being of the Association and includes a joint or deputy or assistant secretary and any person appointed by the directors to perform any of the duties of the secretary;

“ share ” means a share in the capital of the Association; and

“ shareholder ” and “ holder of a share ” mean the holder of a share registered as such in the register of members of the Association.

(2) Except as otherwise provided in the schedule to this Act this section shall not apply for the purposes of that schedule.

Repeal.

3. The contract of copartnery, the royal charter and the two resolutions hereinbefore recited and any other existing resolutions of the Association are hereby annulled, and the Act of 1853, the Act of 1888, the Act of 1903 and the Act of 1920 are hereby repealed.

Saving for incorporation of Association, etc.

4. Without prejudice to the operation of section 38 of the Interpretation Act, 1889, the previous operation of, or anything duly done or suffered under, or any right, privilege, obligation

or liability acquired, accrued or incurred under any instrument or enactment annulled or repealed by section 3 (Repeal) of this Act shall not be affected thereby, and notwithstanding the provisions of that section—

- (a) the Association shall remain incorporated by the name and designation of “ the Life Association of Scotland Limited ”;
- (b) the Association shall retain all existing assets and rights vested in it and shall be subject to all liabilities to which it was subject immediately before the commencement of this Act save in so far as such rights or liabilities are inconsistent with the provisions of this Act;
- (c) the policy holders of the Association shall retain all the existing rights subject to the existing liabilities attaching to their respective policies; and
- (d) the shareholders of the Association shall, subject as otherwise expressly provided in this Act, retain all the existing rights subject to the existing liabilities attaching to their respective holdings of shares.

5. On and after the commencement of this Act the memorandum and articles of association set forth in the Schedule to this Act shall, subject to the provisions of the Companies Act, 1948, including the powers as regards alteration contained in that Act, become and be the memorandum and articles of association of the Association in substitution for the contract or copartnership, the royal charter, the Act of 1853, the Act of 1888, the Act of 1903, the Act of 1920 and the two resolutions hereinbefore recited and any other existing resolutions of the Association and shall be treated as having been registered accordingly.

6.—(1) The Association shall deliver to the Registrar of Companies in Scotland a printed copy of this Act, and he shall retain and register the same, and, if such copy is not so delivered within three months from the commencement of this Act, the Association shall incur a penalty not exceeding two pounds for every day after the expiry of the said three months during which the default continues, and any director or manager of the Association who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this section shall be recoverable summarily.

Copy of Act
to be
registered.

(2) There shall be paid to the registrar by the Association on such copy being registered the fee of five shillings.

(3) Upon such registration the registrar shall on the request of the Association certify under his hand such registration and deliver the certificate or a duplicate thereof to the Association.

Present
chairman of
Association.

7. The chairman of the Association who shall be in office at the commencement of this Act shall be deemed for all purposes to be elected a director of the Association as at that date and also to be elected chairman of the directors of the Association as at that date, and, if he is willing to do so, he shall continue in those offices until the conclusion of the first annual general meeting of the Association to be held thereafter unless he shall sooner die or vacate or be removed from office, and, subject to the foregoing provisions of this section, at such meeting he shall, if then alive and still in office, be deemed to be a retiring director whom the directors had appointed as an additional director as at the date of the commencement of this Act.

Present
directors,
auditor,
officers and
servants.

8.—(1) The persons holding office immediately before the commencement of this Act as directors shall continue in office until they retire as provided in the regulations unless they shall sooner die, resign or vacate or be removed from office.

(2) The person holding office immediately before the commencement of this Act as auditor of the Association shall continue in office until the first annual general meeting of the Association to be held thereafter unless he shall sooner die, resign, cease to be qualified or be removed from office.

(3) All officers and servants of the Association who shall be in office or be employed immediately before the commencement of this Act shall continue to hold and enjoy their respective offices and employments and shall have the same rights and be subject to the same conditions, obligations and penalties, the same powers of removal and the same rules, restrictions, and regulations in relation to their respective offices and employments as they had or were subject to immediately before the commencement of this Act.

Capital.

9.—(1) Subject to the provisions of this section, the capital of the Association shall, as from the commencement of this Act, be four hundred thousand pounds divided into four hundred thousand shares of one pound each, each of which shall be deemed to have been issued and to have credited for all purposes as paid up thereon the sum of five shillings, instead of the existing capital of four hundred thousand pounds divided into ten thousand shares of forty pounds each, on each of which there has been paid up the sum of ten pounds.

(2) The directors may from time to time make calls on the shareholders in respect of the balance of fifteen shillings or of so much of that sum as may for the time being remain unpaid on each of the shares, and each shareholder shall be bound to

pay to the Association at the time and place appointed by the directors the amount called on his share or shares in accordance with the regulations.

(3) Nothing in this section shall prevent the Association from increasing or otherwise altering its capital under and in accordance with the provisions of the Companies Act, 1948.

10.—(1) The alteration of capital in accordance with the provisions of subsection (1) of section 9 (Capital) of this Act shall be effected by the sub-division of each of the existing shares of forty pounds each into forty shares of one pound each, and accordingly on the commencement of this Act every existing shareholder shall be the holder of forty shares each of a nominal value of one pound in substitution for every share of a nominal value of forty pounds held by him immediately before the commencement of this Act.

Allocation,
etc., of
substituted
shares.

(2) The shares substituted under the provisions of this Act for the existing shares shall be held in the same rights, upon the same trusts and subject to the same powers, provisions, declarations, agreements, charges, liens and liabilities as those in or upon or subject to which the existing shares for which they are substituted were held immediately before the commencement of this Act and shall be dealt with, applied and disposed of accordingly and so as to give effect to and not to revoke any deed, will or other instrument disposing of, or affecting, any such existing shares, and trustees, executors or administrators and all other holders in any representative or fiduciary capacity may retain, dispose of or otherwise deal with the same as fully and freely in all respects as they might have retained, disposed of or otherwise dealt with such existing shares.

(3) The directors shall cause to be made in the register of members of the Association and in the other books and documents of the Association such alterations as may be necessary to carry into effect the provisions of this section.

(4) All transfers and other dispositions of any of the existing shares of forty pounds each as subsisting up to the date of the commencement of this Act shall on and from that date, subject to the provisions of this Act and the regulations, be valid and have due effect given to them respectively as transfers or dispositions of the number of shares of one pound each which under the provisions of this Act are substituted for the existing shares of forty pounds each thereby transferred or disposed of although the instrument transferring them or disposing thereof shall describe such shares by the name or denomination which the shares transferred or disposed of had before the date of the commencement of this Act, and the bequest of, or any covenant or provision of any deed or agreement relating to, any number of the existing

shares of forty pounds each shall be held to relate to the number of shares of one pound each which under the provisions of this Act are substituted for such existing shares of forty pounds each.

Exchange of
certificates.

11. The directors shall, as and when they think fit, call in and cancel the certificates of the existing shares of forty pounds each of the Association and issue in lieu thereof certificates of the shares of one pound each substituted therefor under the provisions of this Act, but no holder of any of the existing shares of forty pounds each shall be entitled to any such certificate of shares of one pound each until he shall have delivered up to the directors to be cancelled the certificate or certificates of such existing shares or shall have proved to the reasonable satisfaction of the directors the loss or destruction thereof and shall have given such guarantee or indemnity in respect thereof as the directors may require.

Association
not to
purchase
own shares.

12. Whereas by section XXII (Directors may purchase Shares of Association for its behoof) of the Act of 1853 the directors were authorised to purchase for behoof of the Association any shares and to deal with such shares: Now it is hereby provided that the directors may for such period as they think fit after the commencement of this Act continue to hold for behoof of the Association the shares substituted under the provisions of this Act for any shares so purchased by them for behoof of the Association and the directors may, as and when they think fit, dispose of such shares at such times, for such prices and to such persons as may appear to the directors desirable in the interests of the Association, but no part of the paid-up capital and funds of the Association shall hereafter be applied in the purchase of shares of the Association except as provided in section 54 of the Companies Act, 1948.

Separation
of funds.

13. Subject to the provisions of section 3 of the Insurance Companies Act, 1958, the directors may make such arrangements as they think fit for establishing and setting aside separate and distinct funds in respect of the several branches or parts of the business of the Association for the purpose of separately ascertaining the profits arising from each of the several branches or parts of its business respectively or for any other purpose which they think fit, and the directors may make such arrangements as they think fit for keeping the investments of or effecting to any such separate and distinct fund separate and distinct from the investments held by the Association in respect of any other such separate and distinct fund or otherwise.

Actuarial
investigations
and
allocation of
profits.

14.—(1) Once in every five years or at such shorter intervals as the directors may from time to time determine the Association shall cause an investigation pursuant to the Insurance Companies

Act, 1958, to be made by the actuary for the time being of the Association into the financial condition of the Association, including a valuation of its liabilities.

(2) On the occasion of every such investigation the general principles to be adopted in the valuation of the liabilities of the Association shall be determined by the directors on the advice of the actuary.

(3) The first such investigation to be made after the commencement of this Act shall be made as at the 31st day of December, 1968, or such earlier date as the directors may determine.

(4) Of any surplus ascertained on the occasion of an investigation made in accordance with the provisions of subsection (1) of this section in respect of the life assurance and annuity fund of the Association the directors may as they think fit appropriate such part as they think fit to any one or more of the following purposes (that is to say):—

- (a) the maintenance or increase of the existing reserve fund of the Association or the formation, maintenance or increase of additional reserve funds for such purposes as the directors may think fit;
- (b) the making of contributions to any superannuation or other fund established or to be established for the benefit of persons who are or have been employed by the Association or of dependants of such persons; and
- (c) the crediting of sums for the benefit of shareholders and policy holders of the Association under and in accordance with the provisions of subsection (5) of this section;

and any such appropriation or appropriations by the directors shall be final and conclusive against all persons entitled or claiming to be entitled to participate in any such surplus, and any part of any such surplus not appropriated under this subsection shall be carried forward unappropriated.

(5) Any part of any such surplus appropriated by the directors for the benefit of shareholders and policy holders under subsection (4) of this section (which part of such surplus is hereafter in this section referred to as “the life divisible surplus”) shall, subject to the following provisions of this section, be divided among and credited to the shareholders and policy holders of the Association entitled to participate therein in such proportions as may from time to time be determined by the directors:

Provided that the proportion of the life divisible surplus so credited to such policy holders shall be not less than ninety per centum of the life divisible surplus.

(6) The proportion of the life divisible surplus credited to such policy holders under subsection (5) of this section shall be allocated among them in such manner and in accordance with such principles and conditions and at such times as the directors may from time to time determine, and the directors shall have power to make payment of the sums so allocated as the same shall become due.

(7) The proportion of the life divisible surplus credited to the shareholders under subsection (5) of this section shall be carried to the credit of the profit and loss account of the Association for the period including or ending with (as the case may be) the date as at which the investigation ascertaining such surplus was made.

(8) In addition and without prejudice to their powers under the foregoing provisions of this section to appropriate and credit to policy holders any part of any surplus ascertained in respect of the life assurance and annuity fund of the Association on the occasion of an investigation made in accordance with the provisions of subsection (1) of this section and to allocate and pay to policy holders any sums so credited, the directors shall have power from time to time to determine the amount of any intermediate distribution which they think fit to any one or more of the policy holders entitled to participate in any anticipated surplus in respect of the said fund to be ascertained on the occasion of the next ensuing investigation to be made in accordance with the provisions of subsection (1) of this section, and the directors shall have power to make payment of any such intermediate distribution to any such policy holder as it shall become due.

(9) Any surplus or surpluses ascertained on the occasion of an investigation made in accordance with the provisions of subsection (1) of this section in respect of any separate and distinct funds of the Association other than the life assurance and annuity fund shall be dealt with in such manner as the directors may in their discretion from time to time think fit, and the decision of the directors in regard thereto shall be final and conclusive against all persons entitled or claiming to be entitled to participate in any such surplus or surpluses.

Profits and
reserves.

15.—(1) Out of the profits of the Association the directors may from time to time set aside such sums as they think fit for the maintenance or increase of the existing reserve funds of the Association or for the formation, maintenance or increase of additional reserve funds for such purposes as they may determine.

(2) All reserve funds of the Association howsoever formed or arising shall, at the discretion of the directors, be applicable

for the purpose for which they were formed, maintained or increased or for any other purpose to which the profits of the Association may be properly applied and, pending such application, may, at the like discretion, either be employed in the business of the Association or be invested in any investments in which the directors may from time to time have power to invest the paid up capital and funds of the Association.

(3) In addition to their powers under the foregoing provisions of this section and without prejudice to the generality thereof the directors may from time to time—

- (a) set aside such sum or sums as they think fit from any separate and distinct fund of the Association, or from the balance standing at the credit of the profit and loss account of the Association, for the purpose of the maintenance or increase of the existing reserve funds of the Association or the formation, maintenance or increase of additional reserve funds for such purposes as they may determine; and
- (b) transfer such sum or sums as they think fit from any reserve fund of the Association to any separate and distinct fund of the Association so however that the amount of any sums so transferred to any such fund at any time shall not exceed the amount by which the total of any sums previously transferred from that fund to any reserve fund of the Association exceeds the total of any sums previously transferred from any reserve fund of the Association to the fund in question.

(4) The directors may declare the amount of the profits of the Association or of any particular branch or part of the business of the Association, and any such declaration of the directors shall be final and conclusive against all persons entitled or claiming to be entitled to participate in the profits of the Association or of any particular branch or part of the business of the Association.

16. A condition made by the Association in or under any Arbitration policy for the determination or settlement of any question by arbitration shall not be void on the ground that the name or names of the arbiter or arbiters is or are not specified in the policy. under policies.

17. All assignments of policies shall be valid and effectual if made or executed according to the form of the law of Scotland or the law of any other part of the United Kingdom or partly according to the one and partly according to the other or according to the form usual in the places where the parties are residing at the time. Execution of assignments of policies.

Effect of
assignment
of policy to
Association
by way of
security.

18. No assignment, whether dated before or after the commencement of this Act, to the Association of any policy by way of security for money borrowed from the Association on the security of such policy shall be deemed to extinguish any obligation of the Association for payment of the sum or sums assured under such policy, and the policy and any such assignment thereof shall during the periods for which they shall have been respectively granted have full force and effect according to the respective terms thereof.

Discharge of
sums payable
under
policies.

19.—(1) Where any sum is payable by the Association in respect of any policy, the Association may pay such sum to the person entitled to receive such sum on his tendering a receipt or other writing (either endorsed on or separate from the policy) for or in respect of such sum signed by him in the presence of one witness, and such receipt or other writing shall be in such form as may be approved by the directors.

(2) Where any sum is payable by the Association in respect of any policy to the legal representatives of any policy holder who has died domiciled elsewhere than in the United Kingdom, the directors may, if they think fit, pay such sum to such legal representatives on production at the office of the Association where such sum is payable of the confirmation of the executors of such policy holder or probate of the will of such policy holder or letters of administration or other grant of representation of his estate, whether obtained in the United Kingdom or in the country in which such policy holder has died domiciled, or of other evidence satisfactory to the directors that the persons claiming such sum are the legal representatives of such policy holder, and that in whatsoever country such policy may have been issued or such sum may be payable or such policy holder may have died domiciled, and the persons receiving payment of such sum shall in exchange for payment of such sum be bound to deliver to the Association a receipt or other writing (either endorsed on or separate from the policy) for or in respect of such sum signed by them or each of them in the presence of one witness and in such form as may be approved by the directors.

(3) Any such receipt or other writing as is mentioned in this section shall in accordance with the terms thereof be a complete and sufficient discharge to the Association, and the Association shall not be bound to see to the application of the money paid thereon.

Protection of
Association
as to trusts
of policies.

20. Where any policy shall be, or at any time become, subject to any trust, the receipt of the trustees of that trust or the survivor of them shall notwithstanding any equitable claim or demand of the person or persons beneficially entitled thereto be a complete

and sufficient discharge to the Association for the money in respect of which the receipt is given, and the Association shall not be bound to see to the application of such money.

21. The Association shall be amenable to the jurisdiction of the Supreme Courts of Judicature in England and in Northern Ireland respectively in reference to any policy or other engagement granted or entered into by the Association with any person described therein as of any place in England or Northern Ireland respectively in like manner as if the domicile of the Association were in England or Northern Ireland respectively, and any judgment, rule, decree or order of the Supreme Court in England or in Northern Ireland respectively made or pronounced against, or in favour of, the Association in such cases shall have the same effect and operation against, or in favour of, the Association as if the Association were domiciled in England or Northern Ireland respectively.

Association to be amenable to jurisdiction of supreme courts of England and Northern Ireland.

22. A notice may be given or served by the Association to or on a policy holder of the Association or any other person to whom the Association shall require or desire to give a notice in connection with any matter relating to a policy either personally or by transmitting such notice prepaid through the post addressed to such policy holder or other person at his place of address last known to the Association and, when so given or served, shall be deemed to have been effectually given or served to or on such policy holder or other person.

Service of notices by Association.

23. If any person against whom the Association has any claim or demand becomes bankrupt or in any way submits his affairs to liquidation for the benefit of his creditors, the general manager or the secretary, or any other person authorised in writing either generally or specially by either of them, may represent the Association in all matters and proceedings relating to or against the estate of such person or in any sequestration, adjudication of bankruptcy, process of cessio bonorum, trust or act of insolvency relating to or against such person and may make affidavit or declaration and may vote and otherwise act on behalf of the Association in all respects as if such claim or demand had been the claim or demand of the general manager or secretary or other person authorised as aforesaid.

Representation of Association in matters of bankruptcy.

24. Nothing in this Act shall exempt, or be deemed to exempt, the Association from the provisions of the Insurance Companies Act, 1958, or from the provisions of any general Act passed,

General Acts to apply.

or to be passed, during the present or any future session of Parliament affecting assurance companies formed before the passing thereof or, in Northern Ireland, from the provisions of the Assurance Companies Acts (Northern Ireland), 1909 to 1947, or any subsequent Act of the Parliament of Northern Ireland re-enacting those provisions, whether with or without modification.

Costs of
Act.

25. All costs, charges and expenses preliminary to and of and incidental to the preparing for, obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Association.

SCHEDULE

MEMORANDUM OF ASSOCIATION OF THE LIFE ASSOCIATION OF SCOTLAND LIMITED

1. The name of the Company (which is hereinafter referred to as "the Association") is "THE LIFE ASSOCIATION OF SCOTLAND LIMITED".
2. The registered office of the Association is and will be situate in Scotland.
3. The objects for which the Association is established are—
 - (1) To carry on the business of life assurance in all its branches and in particular but without prejudice to that generality to grant or effect assurances of all kinds for payment of money by way of a single payment or by way of several payments or by way of immediate or deferred annuities or otherwise on the birth or marriage or death or survivorship or failure of issue of or the attainment of a given age by any person or persons or on the expiry of any fixed or ascertainable period or on the happening of any other contingency or event, whether dependent on or connected with human life or not, or on the happening of any contingency or event which would or might be taken to affect the interest, whether in possession, vested, contingent, expectant, prospective or otherwise, of any person or persons in any property (subject or not to any such events as aforesaid happening in the lifetime of any other person or persons) or on the loss or recovery of contractual or testamentary capacity in any person or persons;
 - (2) To grant, sell and purchase annuities of all kinds, whether dependent on or connected with human life or otherwise and whether perpetual or terminable, immediate or deferred, absolute or contingent or expectant or otherwise;
 - (3) To contract with leaseholders, borrowers, lenders, annuitants and others for the establishment, accumulation, provision and payment of sinking funds, redemption funds, depreciation funds, renewal funds, endowment funds and any other special funds and that either in consideration of a single payment or of an annual premium or otherwise and generally on such terms and conditions as may be arranged;
 - (4) To purchase and deal in and lend money on the security of and sell life, reversionary and other interests in property of all kinds, whether perpetual or terminable, immediate or deferred, absolute or contingent or expectant or otherwise;
 - (5) To carry on the business of insurance against sickness and accident in all its branches and in particular but without prejudice to that generality to grant or effect insurances payable on or after the happening of personal injuries, whether fatal or not, caused by accident or misadventure of

any description or intentional violence or injury or on or after the happening of sickness or disease or bodily or mental incapacity, including the insurance of employers against liability for accidents to their employees or others;

- (6) To carry on the business of every kind of assurance and insurance against or relating to any loss, damage, injury, liability, accident, misadventure, misfortune, contingency or event, including fire, marine, aviation, transit, motor vehicle, life, sickness, employers' liability, third party, aircraft, bombardment, burglary, theft, fidelity and guarantee insurance, and every class and description of assurance, insurance, re-assurance and re-insurance business, whether similar or not to any of the businesses aforesaid and whether now known or hereafter devised, and all matters of business which are now or may come to be connected with the same and to carry on directly or indirectly any other business or businesses which the directors may deem capable of being conveniently carried on in connection with or in addition to any of the businesses aforesaid or calculated directly or indirectly to enhance the value of or render profitable any of the property, rights or businesses for the time being of the Association;
- (7) To re-assure or re-insure all or any risks undertaken by the Association and to undertake all kinds of re-assurance and re-insurance connected with any of the businesses of the Association;
- (8) To acquire and lend money on the security of and to apply any funds of the Association in buying up, redeeming, cancelling, extinguishing or obtaining a release or discharge from or surrender of any policy, grant or contract issued, made, taken over or entered into by the Association or any debt, liability or obligation of the Association;
- (9) To pay, settle, satisfy or compromise any claim made against the Association which the directors may deem it expedient to pay, settle, satisfy or compromise whether or not the same may be valid in law;
- (10) To give to any person or persons or any class or section of persons who effect policies of any kind or transact other business or have other dealings with the Association a right to participate in the profits of the Association or of any particular branch or part of the business of the Association, either equally with other persons or classes or sections of persons or otherwise, or any other right, privilege, advantage or benefit and that to such extent and in such manner and on such terms and conditions as the directors may think fit;
- (11) To undertake and execute trusts of all kinds and the conduct of any business connected with trusts of all kinds, to undertake and execute all kinds of agency business and to undertake and execute the office of trustee, executor, administrator, curator, guardian, committee, agent, factor, liquidator,

receiver, treasurer, registrar or any other office of trust or confidence or responsibility and that with or without remuneration;

- (12) To purchase, feu, take on lease or hire or, in exchange or otherwise, acquire and to sell, let or otherwise dispose of and to mortgage or charge and to manage, develop, enfranchise or improve or turn to account and otherwise to deal in any way with any heritable or real or movable or personal property of what kind or nature soever and any right or privilege of what kind or nature soever;
- (13) To invest the paid-up capital and funds of the Association (in so far as the same shall not be required to satisfy the immediate claims on and expenses of the Association) and to alter and change any such investments;
- (14) To lend money to and guarantee the performance of the contracts or obligations of every kind of any person and to give all kinds of indemnities;
- (15) To draw, make, accept, endorse, discount, negotiate, execute and issue and to buy, sell and deal in bills of exchange, promissory notes and other negotiable or transferable instruments;
- (16) To act as the agent for the issue of any stocks, shares, debentures, debenture stocks, mortgages, bonds, bills or other securities or obligations, whether or not offered to the public for subscription, and to guarantee or underwrite the subscription of any such securities or obligations as aforesaid and to subscribe for any of the same conditionally or otherwise;
- (17) To raise or borrow or secure the payment of money and to issue or grant debentures, debenture stocks, bonds or other securities or obligations, whether perpetual or redeemable, and for the purpose of securing money borrowed or owing and the interest thereon or securing any debt, liability or obligation of the Association or of any other person or for any other purpose of the Association to mortgage or charge the whole or any part of the undertaking, property and uncalled capital of the Association;
- (18) To receive on deposit or loan at interest at rates determined from time to time by the directors or without any interest any money including without prejudice to that generality any policy moneys payable by the Association;
- (19) To grant remuneration (whether by way of commission, discount, allowance or otherwise) to any person for placing or agreeing or assisting or endeavouring to place or subscribing for or agreeing to subscribe for, whether absolutely or conditionally, any stocks, shares, debentures, debenture stocks, mortgages, bonds or other securities or obligations of the Association or for any other services rendered or to be rendered in or about the promotion or issue of capital or

securities or obligations of the Association or any other company or otherwise in any way in or about the conduct of the business of the Association and to pay the costs of winding up any company the whole or any part of the property or capital of which is for the time being owned by the Association;

- (20) To enter into any arrangement for sharing profits, union of interests, joint adventure, reciprocal concession or co-operation with any person carrying on or about to carry on any business or transaction which the Association is authorised to carry on or which the directors may deem directly or indirectly conducive to the benefit or interests of the Association and to take or otherwise acquire and hold shares or stock in or securities or obligations of and to subsidise or otherwise assist any such person;
- (21) To purchase or otherwise acquire and undertake or contract for carrying on or administering all or any of the business, undertaking, property and liabilities of any person carrying on or about to carry on any business or transaction which the Association is authorised to carry on or which the directors may deem directly or indirectly conducive to the benefit or interests of the Association or possessed of property or rights suitable for the purposes of the Association;
- (22) To form or promote or assist in or contract with any person for the formation or promotion of any company for the purpose of carrying on any business or transaction which the Association is authorised to carry on or which the directors may deem directly or indirectly conducive to the benefit or interests of the Association or for the purpose of acquiring all or any of the property, rights or liabilities of the Association or any branch or part of the business of the Association or for any other purpose which the directors may deem directly or indirectly conducive to the benefit or interests of the Association and to purchase or otherwise acquire, hold and dispose of stocks or shares in or securities or obligations of such company and to make and carry out arrangements for giving to the Association the entire or the partial control or management or benefit of the business or any branch or part of the business of any such company and to undertake and perform and guarantee all or any of the contracts, debts, liabilities, obligations and engagements of any such company;
- (23) To amalgamate with any company carrying on or about to carry on any business which the Association is authorised to carry on or having objects altogether or in part similar to those of the Association but only with the sanction of the Association in general meeting;
- (24) To pay for any business, property or rights acquired or agreed to be acquired by the Association and generally to satisfy any debts, liabilities or obligations of the Association by the issue or transfer of shares or stock of the Association

or any other company credited as fully paid or partly paid or of debentures or other securities or obligations of the Association or any other company;

- (25) To allow to remain in abeyance or to discontinue from time to time any branch or part of the business of the Association;
- (26) To sell or dispose of the business and undertaking of the Association or any branch or part thereof for such consideration as the Association in general meeting may think fit and in particular for shares, stock, debentures, debenture stocks or other securities or obligations of any company having objects altogether or in part similar to those of the Association;
- (27) To petition Her Majesty or her royal successors for and to obtain any Royal Charter which the directors may deem directly or indirectly conducive to the benefit or interests of the Association and to promote, support or otherwise obtain any Bills in Parliament or Provisional Orders or Orders of the Board of Trade which the directors may deem directly or indirectly conducive to the benefit or interests of the Association and to oppose any Bills in Parliament, Provisional Orders or Orders of the Board of Trade which the directors may deem directly or indirectly prejudicial or potentially prejudicial to the interests of the Association and to defray out of the funds of the Association all expenses thereby incurred;
- (28) To make donations and subscriptions to any object deemed by the directors likely to promote or advance the interests of the Association and to form, manage and contribute to any superannuation or insurance fund or sick or benefit or thrift society or club connected directly or indirectly with the Association and to grant bonuses, gratuities and pensions to directors or officers of or other persons who are or have been employed by the Association or to the widows or children of such persons or others related to or dependent on them and to endow, support, establish and subscribe to any educational, social or charitable institution or society calculated directly or indirectly to be beneficial to such persons or any of them and to subscribe or guarantee money for any charitable or benevolent object or for any exhibition or for any public, general or useful purpose;
- (29) To do all or any of the things and matters aforesaid in any part of the world and for the purpose of transacting business abroad to register the Association in any country, state or province and obtain any concession and by the deposit of money or otherwise to comply with the terms of any concession obtained or any laws or regulations in force for the time being in any country where the Association may desire to transact business and to make in any policies, grants or contracts whatsoever which the Association may issue, make or enter into such special conditions, limitations and

provisions as the directors may deem fit (including without prejudice to that generality such limitations of the liabilities of the members as the directors may deem fit) and also to do all or any of the things and matters aforesaid either as principals, agents, trustees, contractors or otherwise and either alone or in conjunction with others and either by or through agents, sub-contractors, trustees or otherwise;

- (30) To do all such other things and matters as are incidental or conducive to the attainment of the objects aforesaid or any of them or capable of convenient operation in association with them or any of them; and
- (31) To alter this memorandum of association in any manner permitted by the Companies Act, 1948 or by any future Act of Parliament amending the same subject nevertheless to the provisions of such Acts.

And it is hereby declared that the objects of the Association as specified in each of the foregoing paragraphs of this clause (except only if and so far as otherwise expressly provided in any such paragraph) shall be separate and distinct objects of the Association and shall not be in any way limited by reference to any other such paragraph or the order in which such paragraphs occur or the name of the Association.

And it is also hereby declared that the word "person" in this clause shall, unless the context otherwise shall require, be deemed to mean and include any person and any company, partnership or other body of persons, whether incorporated or not.

4. The liability of the members is limited.

5. The capital of the Association is £400,000 divided into 400,000 shares of £1 each.

ARTICLES OF ASSOCIATION OF THE LIFE ASSOCIATION OF SCOTLAND
LIMITED

The following shall be the Regulations of The Life Association of Scotland Limited.

INTERPRETATION

1. In these Regulations, unless there shall be something in the subject or context inconsistent therewith—

“the Act” shall mean the Companies Act, 1948;

“the Association” shall mean The Life Association of Scotland Limited;

“auditor” shall mean the auditor for the time being of the Association;

“debenture” and “debenture holder” shall include debenture stock and debenture stockholder respectively;

“directors” shall mean the directors for the time being of the Association but shall not include local directors;

“dividend” shall include and extend to bonus and any other sum of money whatsoever payable by the Association in respect of a share;

“general manager” shall mean the general manager for the time being of the Association and shall include a joint or deputy or assistant general manager and any person appointed by the directors to perform any of the duties of the general manager;

“month” shall mean calendar month;

“paid” and “paid-up” in reference to the capital of a share shall include credited or taken to be paid;

“the registered office” shall mean the registered office for the time being of the Association;

“the register of members” shall mean the register of members required to be kept pursuant to section 110 of the Act;

“these Regulations” shall mean these articles of association as originally framed or as from time to time altered in any way authorised by the Statutes;

“the seal” shall mean the common seal of the Association;

“secretary” shall mean the secretary for the time being of the Association and shall include a joint or deputy or assistant secretary and any person appointed by the directors to perform any of the duties of the secretary;

“share” shall mean a share in the capital of the Association;

“shareholder” and “holder of a share” shall mean the holder of a share registered as such in the register of members;

“special resolution” shall have the meaning assigned thereto by section 141 of the Act;

“ the Statutes ” shall mean the Act and every other Act of Parliament for the time being in force concerning companies and affecting the Association;

“ United Kingdom ” shall mean Great Britain and Northern Ireland; and

“ in writing ” or “ written ” shall include printing, lithography and all other modes of representing or reproducing words in a visible form.

Words importing only the singular number shall include the plural number, and words importing only the plural number shall include the singular number.

Words importing only the masculine gender shall include the feminine gender.

Words denoting persons shall include any company, partnership or other body of persons, whether incorporated or not.

Save as aforesaid and unless the context shall otherwise require any words or expressions defined in the Statutes shall bear the same meaning in these Regulations.

PRELIMINARY

2. None of the Regulations of Table A or any other Table set out in any Schedule to the Act shall apply to the Association.

3. The Association may in any way authorised by the Statutes from time to time change its name or alter any of these Regulations.

SHARE CAPITAL

4. The share capital of the Association is £400,000 divided into 400,000 shares of £1 each and shall be capable of increase as hereinafter provided.

5. Without prejudice to any special rights previously conferred on the holders of any shares or class of shares for the time being issued (which special rights shall not be varied except in the manner provided in Regulation 8 hereof) any share of the Association may be issued with such preferred, deferred or other special rights or such restrictions, whether in regard to dividend, voting, distribution of assets, return of capital or otherwise, as the Association may by ordinary resolution from time to time determine.

6. Subject to the provisions of Regulation 5 hereof and to any direction given by any resolution of the Association the shares of the Association for the time being unissued shall be at the disposal and under the control of the directors, and they may allot, grant options over or otherwise dispose of them to such persons, at such times, on such terms and conditions and at such price or premium or for such other consideration or otherwise as they may think fit.

7. Subject to the provisions of section 58 of the Act any preference shares may with the sanction of an ordinary resolution be issued on

the terms that they shall, or at the option of the Association shall be liable to, be redeemed on such terms and in such manner as the Association before the issue of such shares may by special resolution determine.

VARIATION OF RIGHTS

8. If at any time the share capital of the Association shall be divided into different classes of shares, the rights attached or belonging to any class of shares (unless otherwise provided by the terms of the issue of shares of such class) may, whether or not the Association shall be in process of being wound up, be varied either with the consent in writing of the holders of not less than three-fourths of the issued shares of such class or with the sanction of a special resolution passed at a separate general meeting of the holders of the issued shares of such class and in no other manner. To every such separate general meeting the provisions of these Regulations relating to general meetings of the Association and to the proceedings thereat shall *mutatis mutandis* apply but so that the necessary quorum shall be two persons holding or representing by proxy not less than one-third of the issued shares of such class (or, if at any adjourned meeting of such holders a quorum as aforesaid shall not be present, any two holders of shares of such class present in person or by proxy shall be a quorum) and any holder of shares of such class present in person or by proxy may demand a poll and on a poll shall have one vote for each share of such class held by him.

9. The rights conferred upon the holders of shares of any class issued with preferred or other rights shall not, unless it shall be otherwise expressly provided by the terms of the issue of such shares, be deemed to be varied by the creation or issue of further shares ranking as regards participation in the profits or the assets of the Association in some or all respects *pari passu* therewith but in no respect in priority thereto.

ALTERATION OF CAPITAL

10. The Association may from time to time by ordinary resolution increase its share capital by such sum, to be divided into shares of such amount, as such resolution shall prescribe, and except so far as may be otherwise provided by or pursuant to these Regulations the provisions of these Regulations shall apply to any such increase of share capital and the shares into which it shall be divided in the same manner in all respects as to the then existing share capital and shares of the Association.

11. The Association may from time to time by ordinary resolution—

- (a) consolidate and divide all or any of its share capital into shares of larger amount than its then existing shares; or
- (b) sub-divide its then existing shares or any of them into shares of smaller amount than shall then be fixed by the Statutes or the memorandum of association of the Association or these Regulations subject nevertheless to the provisions of section 61 (1) (d) of the Act and so that the resolution

whereby any shares shall be so sub-divided may determine that as between the resulting shares one or more of such resulting shares may be given any preference or advantage as regards dividend, voting, distribution of assets, return of capital or otherwise over the others or any other of such resulting shares; or

- (c) cancel any shares which at the date of the passing of such resolution shall not have been taken or agreed to be taken by any person and diminish the amount of its share capital by the amount of the shares so cancelled.

12. The Association may by special resolution reduce its share capital and any share premium account in any manner and with and subject to any incident authorised and consent required by law.

CONVERSION OF SHARES INTO STOCK

13. The Association may by ordinary resolution convert all or any fully paid-up shares into stock and reconvert any stock into fully paid-up shares of any denomination.

14. The holders of stock may transfer the same or any part thereof in the same manner and subject to the same regulations as and subject to which the shares from which such stock arose might previous to conversion have been transferred, or as near thereto as circumstances shall admit, and the directors may from time to time fix the minimum amount of stock transferable but so that such minimum shall not exceed the nominal amount of the shares from which such stock arose.

15. The holders of stock shall according to the amount of stock respectively held by them have the same rights, privileges and advantages as regards dividends, voting and all other matters whatsoever as if they held the shares from which such stock arose, but no such privilege or advantage (except as regards participation in the profits and assets of the Association) shall be conferred by an amount of stock which would not, if existing in shares, have conferred such privilege or advantage.

16. Such of these Regulations as shall be applicable to paid-up shares shall apply to stock, and the words "share" and "shareholder" in these Regulations shall include "stock" and "stockholder".

COMMISSIONS ETC.

17. The Association may exercise the powers of paying commission conferred by section 53 of the Act provided that the rate per centum or the amount of such commission paid or agreed to be paid shall be disclosed in the manner required by the said section and shall not exceed the rate of ten per centum of the price at which the shares in respect whereof the same shall be paid shall be issued or an amount equal to ten per centum of such price (as the case may be). Such commission may be satisfied by the payment of cash or the allotment of fully or partly paid shares of the Association or partly in one way and partly in the other. The Association may also on the issue of shares pay such brokerage as may be lawful.

18. The Association shall not give, whether directly or indirectly and whether by means of a loan or a guarantee or the provision of security or otherwise, any financial assistance for the purpose of or in connection with a purchase or subscription made or to be made by any person of or for any shares of the Association or in its holding company (if any) nor shall the Association make a loan for any purpose whatsoever on the security of its shares or those of its holding company (if any), but nothing in this Regulation shall prohibit transactions mentioned in the proviso to section 54 (1) of the Act.

SHAREHOLDERS

19. Every person whose name shall have been duly entered as a shareholder in the register of members shall be deemed to be a shareholder and shall be entitled to all the privileges belonging to and be liable to all the obligations incumbent on a shareholder.

20. The Association shall for all purposes be entitled to treat the person in whose name any share shall stand registered in the register of members as the absolute owner thereof, and accordingly, notwithstanding any trust whatsoever, whether express, implied or constructive, to which any share may be subject and whether or not the Association shall have had or shall have taken notice of any such trust, the Association shall not be bound to see to the execution of or be bound by or compelled in any way to recognise or give effect to any such trust or be bound by or compelled in any way to recognise or give effect to any equitable, contingent, future or partial interest in any share or any interest in any fractional part of a share or (except only as by these Regulations or by law otherwise provided) any other rights in respect of any share except an absolute right to the entirety thereof in the person in whose name such share shall stand registered in the register of members.

CERTIFICATES

21. The certificate of title to a share or a debenture or representing any other interest in the share or loan capital of the Association (other than a letter of allotment) shall be in such form as shall from time to time be prescribed by the directors and shall be issued under the seal and be signed by at least one director and by the general manager or the secretary or such other officer of the Association as the directors may from time to time direct, and every such signature shall be autographic unless there shall for the time being be in force either generally or in relation to some particular issue of certificates a resolution of the directors adopting some method or system of mechanical signature controlled by or the use of which is by such resolution restricted to certificates which have been approved for sealing by the auditor or the bankers of the Association, in which case the certificates to which such resolution shall relate shall be sufficiently signed if they shall bear the mechanical signatures authorised by such resolution. Each certificate of shares shall specify the name and place of address of the shareholder and his description so far as known to the Association and the number

and class of the shares in respect of which it shall be issued and the amount paid thereon and the distinguishing numbers of such number of shares.

22. Each shareholder shall without payment be entitled to receive within two months after allotment or lodgment of transfer or of notice of election in terms of either Regulation 54 (2) or Regulation 55 (2) hereof or within such other period as the conditions of issue shall provide one certificate for all the shares of each class registered in his name or upon payment of such sum not exceeding one shilling for every certificate after the first as the directors shall from time to time determine several certificates each for one or more of such shares of any one class. When two or more persons shall be registered as joint holders of a share the directors shall only be bound to issue one certificate in respect of such share, and delivery of such certificate to any one of such persons shall be deemed to be sufficient delivery to all such persons. Where a shareholder transfers part only of the shares comprised in a certificate, he shall be entitled to receive without payment a new certificate for the balance of such shares.

23. On a transfer or transmission of a share the certificate for such share shall be delivered up to the Association to be cancelled unless the directors shall dispense with the delivery thereof.

24. If a certificate for a share shall be defaced, lost or destroyed, it may be renewed on payment of such fee not exceeding one shilling and on such terms (if any) as to evidence of such defacement, loss or destruction, as the case may be, and indemnity and the payment of out-of-pocket expenses of the Association of investigating such evidence as the directors may think fit, and in the case of a certificate which shall be defaced it shall on being renewed be delivered up to be cancelled unless the directors shall dispense with the delivery thereof.

LIEN

25. The Association shall have a first and paramount lien on all shares (other than fully paid up shares) standing registered in the name of a shareholder (whether solely or jointly with any other person) for all debts, obligations or prestations (whether or not the period for payment, discharge or fulfilment thereof shall have actually arrived) owing by or prestatable against him or his estate (whether solely or jointly with any other person) to the Association; but the directors may at any time declare any share to be wholly or in part exempt from the provisions of this Regulation. The lien, if any, of the Association on a share shall extend to all dividends payable in respect thereof.

26. The Association may sell in such manner as the directors may think fit any share on which the Association shall have a lien, but no such sale shall be made unless a debt, obligation or prestation in respect of which such lien shall exist shall be presently owing or prestatable nor until the expiry of fourteen days after a notice in writing stating and demanding payment, discharge or fulfilment of such

debt, obligation or prestation in respect of which such lien shall exist as shall be presently owing or prestable shall have been given to the registered holder for the time being of such share or, if he (being the sole holder of such share) shall at the date of such notice be dead or bankrupt, to the person entitled to such share by reason of his death or bankruptcy, as the case may be.

27. To give effect to any such sale the directors may authorise some person to execute a transfer of the share so sold to the purchaser thereof. Such purchaser shall subject to the provisions of these Regulations be registered as the holder of such share, and he shall not be bound or entitled to see to the application of the purchase money nor shall his title to such share be affected by any irregularity or invalidity in the proceedings in reference to such sale.

28. The proceeds of any such sale shall be received by the Association and after payment of all expenses of and incidental to such sale shall be applied by the Association in or towards payment, discharge or fulfilment of such debt, obligation or prestation in respect of which such lien shall exist as shall be presently owing or prestable, and the balance, if any, shall (subject to a like lien for debts, obligations or prestations not presently owing or prestable as shall have existed on such share before such sale) be paid to the person entitled immediately before such sale to such share.

CALLS ON SHARES

29. The directors may from time to time make such calls as they may think fit on the shareholders in respect of any moneys unpaid on their shares (whether on account of the nominal value of such shares or by way of premium) and not by the conditions of allotment thereof made payable at fixed times provided that no call shall be payable at less than three months from the date specified for payment of the last preceding call ; and each shareholder shall (subject to receiving not less than four weeks' notice specifying the time or times and place of payment) pay to the Association at the time or times and place so specified the amount called on his shares. At any time before the time for payment a call may be revoked or postponed as the directors may think fit.

30. A call shall be deemed to have been made at the time when the resolution of the directors authorising such call shall have been passed, and a call may be required to be paid by instalments.

31. The joint holders of a share shall be jointly and severally liable to pay all calls in respect thereof.

32. If a sum called in respect of a share shall not be paid before or on the day appointed for payment thereof, the shareholder from whom such sum shall be due shall pay interest thereon at such rate not exceeding ten per centum per annum as the directors may determine

from the day appointed for payment thereof until payment, but the directors shall be at liberty to waive payment of such interest wholly or in part.

33. Any sum which by the terms of the issue of a share shall become payable on allotment or at any fixed date (whether on account of the nominal value of such share or by way of premium) shall for all the purposes of these Regulations be deemed to be a call duly made and payable on the date on which by the terms of the issue the same shall become payable, and in the case of non-payment of any such sum all the relevant provisions of these Regulations as to payment of interest, forfeiture or otherwise shall apply as if such sum had become payable by virtue of a call duly made and notified.

34. The directors may on the issue of shares differentiate between the holders as to the amount of calls to be paid and the times of payment.

35. Forthwith after the day appointed for the payment of a call the amount of any money then due by a shareholder in respect of such call and interest thereon as hereinbefore provided shall be a debt due by such shareholder to the Association and may be recovered by the Association from such shareholder in any court of competent jurisdiction.

36. In any proceedings against a shareholder for recovery of any money due in respect of any call made on him and interest thereon as hereinbefore provided the production of the register of members or of an extract therefrom certified by the general manager or the secretary shall be conclusive evidence of such shareholder being a shareholder and of the number and class of shares held by him and of the amount unpaid thereon, and it shall be sufficient to prove that the resolution making such call shall have been duly recorded in the minute book of the proceedings of the directors and that notice of such call shall have been duly given to such shareholder.

FORFEITURE OF SHARES

37. If a shareholder shall fail to pay in full any call or instalment of a call on or before the day appointed for payment thereof, the directors may at any time thereafter during such time as any part of such call or instalment shall remain unpaid serve a notice on him requiring payment of so much of such call or instalment as shall be unpaid together with any interest which may have accrued thereon and any expenses that may have been incurred by the Association by reason of such failure to pay.

38. Such notice shall specify a further day (not earlier than the expiry of fourteen days from the date of service of such notice) on or before which the payment required by such notice shall be made, and such notice shall also state that in the event of non-payment on or before the day so specified the share in respect of which such call shall have been made shall be liable to be forfeited.

39. If the requirements of any such notice shall not be complied with, any share in respect of which such notice shall have been given may at any time thereafter before the payment required by such notice shall have been made be forfeited by a resolution of the directors to that effect. Such forfeiture shall include all dividends which shall have been declared in respect of any share so forfeited and which shall not have been actually paid before such forfeiture.

40. A share so forfeited shall be deemed to be the property of the Association and may be sold or otherwise disposed of by the directors on such terms and in such manner as they may think fit, and at any time before such a sale or disposition of such share such forfeiture may be cancelled on such terms as the directors may think fit.

41. A person whose share shall have been so forfeited shall cease to be a shareholder in respect of such share but shall notwithstanding remain liable to pay and shall forthwith pay to the Association all moneys which at the date of forfeiture were presently payable by him to the Association in respect of such share, together with interest thereon at such rate not exceeding ten per centum per annum as the directors may determine from the date of such forfeiture until payment, but the directors shall be at liberty to waive payment of such interest wholly or in part. The liability of such person shall cease if and when the Association shall have received payment in full of all such moneys and interest as aforesaid in respect of such share.

42. A statutory declaration in writing that the declarant is a director or the general manager or the secretary of the Association and that a share in the Association shall have been duly forfeited on a date stated in such declaration shall be conclusive evidence of the facts therein stated as against all persons claiming to be entitled to such share. The Association may receive and deal as it may think fit with the consideration, if any, given for such share on any sale or disposition thereof and may authorise some person to execute a transfer of such share in favour of the person to whom such share shall be sold or disposed of, and such person to whom such share shall be sold or disposed of shall subject to the provisions of these Regulations be registered as the holder of such share and shall not be bound or entitled to see to the application of the consideration, if any, given for such share, nor shall his title to such share be affected by any irregularity or invalidity in the proceedings in reference to the forfeiture, sale or disposition of such share.

TRANSFER OF SHARES

43. Subject to the provisions of these Regulations a shareholder may transfer all or any of his shares by instrument in writing in any usual or common form or in any other form which the directors may from time to time approve, but it shall not be lawful to transfer a fractional part of a share.

44. An instrument of transfer of a share shall be executed by or on behalf of both the transferor and the transferee. Shares of different classes shall not be comprised in the same instrument of transfer.

45. The transferor of a share shall be deemed to remain the holder of such share until the name of the transferee of such share shall have been entered in the register of members as the holder of such share.

46. The directors may decline to recognise any instrument of transfer of a share unless—

- (a) such fee (if any) as may fall to be paid under Regulation 52 hereof shall be paid to the Association in respect thereof;
- (b) such instrument of transfer shall be deposited at the registered office and shall be accompanied by the certificate of the share to which it shall relate and such other evidence (if any) as the directors may reasonably require to prove the right of the transferor to transfer such share; and
- (c) such instrument of transfer shall be in respect of only one class of share.

When registered such instrument of transfer shall be retained by the Association unless the directors shall otherwise determine.

47. A shareholder, unless the directors shall otherwise determine, shall not be entitled to transfer any share after any call shall have been made in respect thereof until he shall have paid all calls for the time being presently due on any share held by him, nor, unless the directors shall otherwise determine, shall he be entitled to transfer any share not fully paid up unless he shall have fulfilled and implemented all obligations then incumbent on him to the Association.

48. The directors may in their absolute discretion and without reason assigned decline to register any transfer of a share on which the Association shall have a lien or a transfer of a share not fully paid up in favour of a person of whom they shall not approve, whether such person shall already be a shareholder or not.

49. If the directors shall decline to register a transfer of a share, they shall within two months after the date on which such transfer shall have been presented to the Association send to the transferee notice of such declinature.

50. Subject to the provisions of section 115 of the Act the directors may close the register of members and the transfer books at such times and for such periods as the directors may from time to time determine but not for more than thirty days in all in any one year, and any transfer of a share made or presented for registration during any period when the register of members and the transfer books shall be closed shall as between the Association and the person claiming under such transfer but not otherwise be deemed to have been made or presented for registration, as the case may be, on the day after the concluding day of such period.

51. Nothing in these Regulations shall preclude the directors from recognising a renunciation of the allotment of any share by the allottee in favour of some other person.

52. In respect of the registration of any instrument of transfer or probate or letters of administration or confirmation of an executor or clerk to a confirmation of an executor or certificate of marriage or death or notice of election in terms of either Regulation 54 or Regulation 55 hereof or power of attorney or other document relating to or affecting the title to any share or for making any entry in the register of members affecting the title to any share there shall before the Association shall give effect to any such instrument or document be paid to the Association such fee not exceeding two shillings and sixpence as the directors may from time to time require, but the directors may determine that either for a specified period or generally until otherwise determined no such fee shall be payable.

TRANSMISSION OF SHARES

53. In case of the death of a shareholder the survivor or survivors where the deceased shall have been a joint holder of a share or the legal representatives of the deceased where he shall have been the sole holder of a share shall be the only persons recognised by the Association as having any title to his interest in the share, but nothing herein contained shall release the estate of a deceased joint holder from any liability in respect of any share held jointly by him and any other person or persons.

54. (1) Any person becoming entitled to a share in consequence of the death of a shareholder who shall have been the sole holder of such share may on production of such evidence as to his title as may from time to time be required by the directors and subject as hereinafter provided elect either to be registered himself as the holder of such share or to have some other person nominated by him registered as the transferee thereof.

(2) If a person becoming entitled to a share in consequence of the death of a shareholder who shall have been the sole holder of such share shall elect to be registered himself as the holder of such share, he shall deliver or send to the Association a notice in writing signed by him and in such form and authenticated in such manner as the directors may from time to time appoint stating that he shall have so elected. If he shall elect to have some other person nominated by him registered as the transferee of such share, such election shall be testified by his executing a transfer of such share in favour of such other person and the presentation to the Association of such transfer for registration. All the provisions of these Regulations relating to the right to transfer a share, a transfer of a share, the presentation and registration of a transfer of a share and the right of the directors to suspend or decline registration of a transfer of a share and all matters incidental thereto shall be applicable to such notice or transfer, as the case may be, in the same way and manner as if the death of such deceased shareholder had not occurred and such notice or transfer, as the case may be, were a transfer signed by such deceased shareholder.

(3) Until a person becoming entitled to a share in consequence of the death of a shareholder who shall have been the sole holder of such

share shall be registered himself as the holder of such share or, if he shall elect to have some other person nominated by him registered as the transferee of such share, until such other person shall be registered as the transferee of such share, such person becoming entitled to such share in consequence of the death of such shareholder shall not be entitled to receive any dividends payable in respect of such share during the period after the death of such shareholder and before such registration, nor shall he before being himself registered as the holder of such share be entitled in respect of such share to exercise any right conferred by shareholdership in relation to general meetings of the Association.

55.—(1) Any person becoming entitled to a share in consequence of the bankruptcy of a shareholder who shall have been the sole holder of such share may on production of such evidence as to his title as may from time to time be required by the directors and subject as hereinafter provided elect either to be registered himself as the holder of such share or to have some other person nominated by him registered as the transferee thereof.

(2) If a person becoming entitled to a share in consequence of the bankruptcy of a shareholder who shall have been the sole holder of such share shall elect to be registered himself as the holder of such share, he shall deliver or send to the Association a notice in writing signed by him and in such form and authenticated in such manner as the directors may from time to time appoint stating that he shall have so elected. If he shall elect to have some other person nominated by him registered as the transferee of such share, such election shall be testified by his executing a transfer of such share in favour of such other person and the presentation to the Association of such transfer for registration. All the provisions of these Regulations relating to the right to transfer a share, a transfer of a share, the presentation and registration of a transfer of a share and the right of the directors to suspend or decline registration of a transfer of a share and all matters incidental thereto shall be applicable to such notice or transfer, as the case may be, in the same way and manner as if the bankruptcy of such bankrupt shareholder had not occurred and such notice or transfer, as the case may be, were a transfer signed by such bankrupt shareholder.

(3) Until a person becoming entitled to a share in consequence of the bankruptcy of a shareholder who shall have been the sole holder of such share shall be registered himself as the holder of such share or, if he shall elect to have some other person nominated by him registered as the transferee of such share, until such other person shall be registered as the transferee of such share, such person becoming entitled to such share in consequence of the bankruptcy of such shareholder shall not be entitled to receive any dividends payable in respect of such share during the period after the occurrence of the bankruptcy of such shareholder and before such registration, nor shall he before being himself registered as the holder of such share be entitled in respect of such share to exercise any right conferred by shareholdership in relation to general meetings of the Association.

GENERAL MEETINGS

56. The Association shall in each year hold a general meeting as its annual general meeting in addition to any other general meetings in that year and shall specify the annual general meeting as such in the notices calling it. Not more than fifteen months shall elapse between the date of one annual general meeting of the Association and that of the next. The annual general meeting shall be held at such time and place as the directors shall appoint.

57. All general meetings of the Association other than annual general meetings shall be and shall be called extraordinary general meetings.

58.—(1) The directors may whenever they may think fit convene an extraordinary general meeting. Extraordinary general meetings shall also be convened on such requisition, or in default may be convened by such requisitionists, as is provided in section 132 of the Act. If at any time there shall not be within the United Kingdom sufficient directors capable of acting to form a quorum of the directors, any director or any two shareholders duly qualified to vote at general meetings may convene an extraordinary general meeting in the same manner as nearly as possible as that in which general meetings may be convened by the directors.

(2) An extraordinary general meeting by whomsoever convened shall not proceed to any business other than the business for which such extraordinary general meeting shall have been convened.

NOTICE OF GENERAL MEETINGS

59.—(1) All general meetings whatsoever of the Association shall be called by not less than twenty-one days' notice in writing, and such written notice shall specify the place, the day and the hour of meeting and, in the case of special business, the general nature of that business and shall be given in manner hereinafter mentioned or in such other manner, if any, as may be prescribed by the Association in general meeting to—

(a) every shareholder except those shareholders who, having no registered place of address in the United Kingdom, have not intimated in writing to the Association at the registered office a place of address in the United Kingdom for the giving or service to or on them of notices from the Association;

(b) (notwithstanding the provisions of Regulations 54 (3) and 55 (3) hereof) every person upon whom the ownership of a share shall have devolved by reason of his being either the legal representative or the representative in bankruptcy of a shareholder who shall have been the sole holder of such share where such shareholder but for his death or bankruptcy would have been entitled to receive notice of the meeting; and

(c) the auditor.

No other person shall be entitled to receive notice of a general meeting.

(2) All business shall be deemed special that shall be transacted at an extraordinary general meeting and also all that shall be transacted at an annual general meeting with the exception of the consideration of the accounts and balance sheets and the reports of the directors and the auditor, the election of directors in the place of those retiring and the appointment of and the fixing of the remuneration of the auditor.

60. The accidental omission to give notice of a general meeting to, or the non-receipt of notice of a general meeting by, any person entitled to receive such notice shall not invalidate the proceedings at such general meeting.

PROCEEDINGS AT GENERAL MEETINGS

61. No business shall be transacted at any general meeting of the Association unless a quorum of shareholders shall be present, and save as herein otherwise provided to constitute such a quorum there shall be present at such meeting either in person or by proxy not less than eight shareholders qualified to vote at such meeting.

62. If within half an hour after the time appointed for the holding of any general meeting a quorum shall not be present or if at any general meeting a quorum shall not be present at any time during such meeting, such meeting, if it shall have been convened upon the requisition of shareholders, shall be dissolved, but in any other case such meeting shall stand adjourned to the same day in the next week at the same time and place or to such other day and at such other time and place as the directors may determine, and, if at such adjourned meeting a quorum shall not be present within half an hour after the time appointed for the holding of such adjourned meeting, the shareholders who shall then and at any time during such adjourned meeting be present and qualified to vote at such adjourned meeting shall be a quorum.

63. The chairman (if any) of the directors shall preside as chairman at every general meeting of the Association, but, if there shall be no chairman of the directors or if at any general meeting he shall not be present within fifteen minutes after the time appointed for the holding of such meeting or if at any general meeting he shall be unwilling to act as chairman of such meeting, the directors present at such meeting shall elect one of their number to be chairman of such meeting.

64. If at any general meeting no director shall be willing to act as chairman of such meeting or if at any general meeting no director shall be present within fifteen minutes after the time appointed for the holding of such meeting, the shareholders present and qualified to vote at such meeting shall choose one of their number to be chairman of such meeting.

65. The chairman of any general meeting may with the consent of such meeting and shall, if so directed by such meeting, adjourn such meeting from time to time and from place to place.

66.—(1) When any general meeting shall have been adjourned for thirty days or more notice of the adjourned meeting shall be given as in the case of an original meeting, but save as aforesaid it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned meeting.

(2) An adjourned meeting shall not proceed to any business other than the business left unfinished at the meeting from which the adjournment shall have taken place.

67. At any general meeting a resolution put to the vote of such general meeting shall be decided on a show of hands unless a poll shall before or on the declaration of the result of such show of hands be demanded—

- (a) by the chairman of such general meeting; or
- (b) by not less than three shareholders present in person or by proxy and qualified to vote at such general meeting; or
- (c) by any shareholder or shareholders present in person or by proxy and qualified to vote at such general meeting and holding in the aggregate not less than one-tenth of the total voting rights of all the shareholders qualified to vote at such general meeting; or
- (d) by any shareholder or shareholders present in person or by proxy and qualified to vote at such general meeting and holding shares conferring a right to vote at such general meeting, being shares on which an aggregate sum shall have been paid up equal to not less than one-tenth of the total sum paid up on all the shares conferring such right.

A demand for a poll may be withdrawn. Unless a poll shall have been so demanded and such demand shall not have been withdrawn, a declaration by the chairman of such general meeting that such resolution shall have on a show of hands been carried or carried unanimously or by a particular majority or lost and an entry to that effect in the minutes of proceedings of the Association shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of or against such resolution.

68. Except as provided in Regulation 69 hereof, if a poll shall have been duly demanded and such demand shall not have been withdrawn, such poll shall be taken in such manner as the chairman of the general meeting at which the poll shall have been demanded shall direct, and the result of such poll shall be deemed to be the resolution of the general meeting at which such poll shall have been demanded.

69. If a poll shall have been duly demanded on the election of a chairman of any general meeting or on any question of adjournment of any general meeting and such demand shall not have been withdrawn, such poll shall be taken immediately. If a poll shall have been duly demanded on any other question and such demand shall not have been withdrawn, such poll shall be taken either immediately or at such subsequent time within fourteen days after the demand for such poll and at such place as the chairman of the general meeting at which such poll shall have been demanded shall direct. No notice shall require to be given of a poll not taken immediately.

70. The demand for a poll shall not prevent the continuance of any general meeting for the transaction of any business other than the question on which such poll shall have been demanded.

71. In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the general meeting at which the show of hands shall take place or at which the poll shall be demanded (in addition to being entitled to vote as principal and also as proxy if he shall be a proxy) shall be entitled to a decisive or casting vote.

VOTES OF SHAREHOLDERS

72. Subject to any rights or restrictions for the time being attached to any class or classes of shares every shareholder not otherwise disqualified from voting shall at all general meetings of the Association—

- (a) on a show of hands have one vote; and
- (b) on a poll have one vote for each share.

73. In the case of joint holders of a share the vote of the senior joint holder who at any general meeting shall tender a vote, whether in person or by proxy, and shall be qualified to vote thereat shall be accepted to the exclusion of the votes of the other joint holders, and for that purpose seniority shall be determined by the order in which the names of the joint holders stand in the register of members in respect of such joint holding.

74. Any shareholder of unsound mind or in respect of whom any order shall have been made by any court having jurisdiction in lunacy may vote, whether on a show of hands or on a poll, by his committee, receiver, *curator bonis* or other person in the nature of a committee, receiver or *curator bonis* appointed by such court provided that such evidence as the directors may require of the authority of the person so claiming to vote shall have been deposited at the registered office not less than forty-eight hours before the time appointed for the holding of the meeting or adjourned meeting or, in the case of a poll, before the time appointed for the taking of such poll, as the case may be, at which such person shall propose to vote; and every such vote may be given either in person or by proxy.

75. Unless the directors shall otherwise determine, no shareholder shall be entitled to attend or vote at any general meeting while any call or other sum of money shall be presently due and payable to the Association in respect of any share held by him.

76. No objection shall be raised to the qualification of any voter or the admissibility of any vote except at the general meeting or adjourned meeting at which the vote objected to shall or may be given or tendered, and every vote not disallowed at such meeting shall be valid for all purposes. Any such objection made in due time shall be referred to the chairman of such meeting whose decision shall be final and conclusive.

77. At any general meeting a shareholder qualified to vote at such meeting may, whether on a show of hands or on a poll, vote either personally or by a proxy, and the vote of any such proxy shall be received in the same manner as if the shareholder appointing such

proxy were personally present and voted at such meeting or voted on such poll (as the case may be). Such proxy shall not require to be a shareholder of the Association.

78. The instrument appointing a proxy may be in any usual or common form or in any other form which the directors may approve. Such instrument shall not require to be holograph or tested but shall be under the hand of the shareholder appointing such proxy or of his attorney duly authorised in writing or, if the shareholder appointing such proxy shall be a corporation, then either under the seal of such corporation or under the hand of an officer of such corporation or of an attorney for such corporation duly authorised by such corporation.

79. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it shall have been signed or a notarially certified copy of such power of attorney or other authority shall be deposited at the registered office not less than forty-eight hours before the time appointed for the holding of the meeting or adjourned meeting or, in the case of a poll, before the time appointed for the taking of such poll, as the case may be, at which the person named in such instrument shall propose to vote, and in default such instrument of proxy shall not be treated as valid.

80. If an instrument shall appoint a proxy for more than one meeting or for a period, such instrument shall remain at the registered office unless recalled, and, unless and until recalled, such instrument may be acted on without any fresh deposit, but no instrument appointing a proxy shall be valid after the expiry of twelve months from the date of its execution except at an adjournment of, or on a poll demanded at, a meeting or adjourned meeting in cases where the meeting was originally held within twelve months from such date.

81. An instrument appointing a proxy shall be deemed—

- (a) to confer a right to speak at any meeting at which such instrument is to be used; and
- (b) to confer authority to demand or join in demanding a poll at any meeting at which such instrument is to be used.

82. A vote given in accordance with the terms of an instrument appointing a proxy shall be valid notwithstanding the previous death or insanity of the shareholder appointing such proxy or the revocation of the instrument appointing such proxy or of the authority under which such instrument shall have been executed or the transfer of the share in respect of which such proxy shall be given provided that no intimation in writing of such death, insanity, revocation or transfer authenticated to the satisfaction of the directors shall have been received by the Association at the registered office before the commencement of the meeting or adjourned meeting or the poll, as the case may be, at which such proxy shall be used.

83. The directors may at the expense of the Association issue forms of proxy for use by shareholders with or without inserting therein the names of any of the directors.

CORPORATIONS ACTING BY REPRESENTATIVES AT GENERAL
MEETINGS

84. Any corporation which is a shareholder of the Association may by resolution of its directors or other governing body authorise such person as it may think fit to act as its representative at any general meeting of the Association or at any meeting of any class of shareholders of the Association, and the person so authorised shall be entitled at any such meeting to exercise the same powers on behalf of such corporation as such corporation could exercise at such meeting if it were an individual shareholder of the Association.

DIRECTORS

85. Unless and until it shall be otherwise determined by the Association in general meeting, the number of the directors of the Association shall be not less than six nor more than sixteen.

86. The qualification of a director shall be that he shall be a shareholder in his own right. A director may notwithstanding what may be elsewhere provided in these Regulations act as a director before obtaining his qualification, but, if he shall not obtain such qualification within two months after his appointment or election, as the case may be, his office of director shall be *ipso facto* vacated on the expiry of that period.

87. The remuneration of the directors shall be fixed from time to time by the Association in general meeting, and the amount of such remuneration shall be apportioned by the directors among themselves in such proportions and manner as from time to time they shall resolve. If a director shall perform any services of any kind for any of the purposes of the Association which in the opinion of the directors shall be outside the scope of the ordinary duties of a director, the directors may give to such director such extra remuneration as they may reasonably think fit, and such extra remuneration shall be additional to the remuneration fixed by the Association in general meeting as hereinbefore mentioned. A director may also be paid all travelling, hotel and other expenses properly incurred by him in attending and returning from meetings of the directors or any committees of the directors or meetings of the Association or in connection with any business of the Association.

DISQUALIFICATION OF DIRECTORS

88. The office of a director shall be vacated if the director—

- (a) shall become bankrupt or shall make any arrangement or composition with his creditors generally; or
- (b) shall be prohibited from being a director by reason of any order made under section 188 of the Act; or
- (c) shall become of unsound mind; or
- (d) shall resign his office by notice in writing to the Association;
or

- (e) shall cease to hold his qualification or, if not already holding his qualification, shall fail to obtain his qualification within two months after his election or appointment, as the case may be; or
- (f) shall for more than six consecutive months have been absent without permission of the directors from meetings of the directors held during that period, and in that case the directors shall have resolved that his office shall be vacated.

ROTATION OF DIRECTORS

89. Two directors shall retire at every annual general meeting. A director so retiring shall retain office as a director until the close of the annual general meeting at which he shall retire.

90. The directors so to retire at every annual general meeting shall include in the first place any director who shall wish to retire and not offer himself for re-election as a director. Any further directors so to retire shall be those who shall have been longest in office since their last election, but as between directors who shall have become directors on the same day those to retire shall (unless they shall otherwise agree among themselves) be determined by lot.

91. A director who shall retire at any annual general meeting shall be eligible for re-election.

92. The Association at the annual general meeting at which a director shall retire in any manner aforesaid may fill the vacated office by electing thereto any person, and in default of such election the retiring director shall, if offering himself for re-election as a director, be deemed to have been re-elected unless at such meeting it shall be expressly resolved not to fill such vacated office or unless a resolution for the re-election of such director shall have been put to such meeting and lost.

93. No person other than a director retiring at an annual general meeting shall, unless recommended by the directors, be eligible for election to the office of director at any general meeting unless not less than ten days nor more than twenty-one days before the date appointed for such meeting there shall have been left at the registered office notice in writing signed by a shareholder duly qualified to attend and vote at such meeting of his intention to propose such person for election as a director and also notice in writing signed by such person of his willingness to be elected as a director.

94. The directors shall have power at any time and from time to time to appoint any person to be a director either to fill a casual vacancy or as an additional director but so that the total number of directors shall not at any time exceed the number fixed in accordance with these Regulations as the maximum number of directors. Any director so appointed shall retire at the next following annual general meeting and shall then be eligible for re-election but shall not be taken into account in determining the directors who are to retire by rotation at such meeting.

95. The Association may by ordinary resolution of which special notice shall have been given in accordance with section 142 of the Act remove any director before the expiry of his period of office notwithstanding anything in these Regulations or in any agreement between the Association and such director but without prejudice to any claim which such director may have for damages for any breach of any such agreement.

96. The Association may by ordinary resolution appoint any person to be a director in place of a director removed from office under the immediately preceding Regulation, and without prejudice to the powers of the directors under Regulation 94 hereof the Association in general meeting may appoint any person to be a director either to fill a casual vacancy or as an additional director, and any person so appointed in place of a director so removed from office or to fill such a vacancy shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he shall be so appointed was last elected a director. In default of such appointment of a person to be a director in place of a director so removed from office the vacancy arising upon such removal may be filled by the directors as a casual vacancy.

97. The Association may from time to time by ordinary resolution increase or reduce the number of directors and may also from time to time determine the order of rotation in which such increased or reduced number shall retire and the number which shall retire.

PROCEEDINGS OF DIRECTORS

98. Meetings of the directors shall be held at the registered office or at such other place as the directors may fix.

99. The directors may meet together for the dispatch of business, adjourn and otherwise regulate their meetings as they may think fit. Any two directors may at any time require the secretary to call a meeting of the directors, and the secretary, if so required, shall call a meeting of the directors. It shall not be necessary to give notice of a meeting of the directors to any director for the time being absent from the United Kingdom.

100. Unless otherwise determined by the directors, a quorum for a meeting of the directors shall be three directors.

101. A meeting of the directors at which a quorum shall be present shall be competent to exercise all or any of the authorities, powers and discretions by or under these Regulations for the time being vested in or exercisable by the directors generally.

102. The directors may elect a chairman of their meetings and determine the period for which he shall hold office, but, if no such chairman shall be elected or if at any meeting of the directors such chairman shall not be present within five minutes after the time

appointed for the holding of such meeting or if at any meeting of the directors he shall be unwilling to act as chairman of such meeting, the directors present at such meeting may choose one of their number to be chairman of such meeting.

103. The continuing directors may act notwithstanding any vacancy in their body, but, if and so long as the number of the directors shall be reduced below the number fixed in accordance with these Regulations as the necessary quorum of directors, the continuing directors or director may act for the purpose of increasing the number of directors to that number or any greater number not exceeding the number fixed in accordance with these Regulations as the maximum number of directors or for the purpose of summoning a general meeting of the Association but for no other purpose.

104.—(1) The directors may delegate any of their powers to one or more committees appointed by them and consisting of such of their number as they may from time to time think fit, not being less than two, and any committee of directors so appointed shall in the exercise of the powers so delegated conform to any regulations which may at any time and from time to time be imposed on it by the directors.

(2) Any committee of directors may elect a chairman of its meetings, but, if no such chairman shall be elected or if at any meeting of any committee of directors the chairman of such committee of directors shall not be present within five minutes after the time appointed for the holding of such meeting or if at any meeting of any committee of directors the chairman of such committee of directors shall be unwilling to act as chairman of such meeting, the members of such committee of directors present at such meeting may choose any of their number to be chairman of such meeting.

(3) Any committee of directors may meet, adjourn and (subject as immediately hereinbefore provided) otherwise regulate its proceedings as it may think proper.

(4) In the absence of any special instructions by the directors two members of a committee of directors shall be a quorum.

(5) The directors may at any time terminate the appointment of any director to a committee of directors and may appoint another director in his stead and may at any time dissolve a committee of directors for any cause whatsoever and, if they think fit, appoint another committee of directors in its stead.

105. All questions arising at any meeting of the directors or at any meeting of a committee of directors shall be decided by a majority of votes of the directors present. Each director present at any such meeting shall have one vote, and the chairman of any such meeting shall in addition have a decisive or casting vote if there shall be an equality of votes.

106. A resolution in writing signed by all the directors for the time being entitled to receive notice of a meeting of the directors or a resolution in writing signed by all the members of a committee of directors shall be as valid and effectual as if it had been passed at a

meeting of the directors duly convened and held or at a meeting of the committee of directors duly convened and held, as the case may be, and such resolution may consist of several documents in the like form, each signed by one or more directors.

107. All acts done by any meeting of the directors or of a committee of directors or of a local board or by any person acting as a director or as a member of a committee of directors or of a local board or as a local director, notwithstanding that it may be afterwards discovered that there was some defect in the appointment or continuance in office of any of such directors or members of a committee of directors or of a local board or person acting as a director or as a member of a committee of directors or of a local board or as a local director or that they or any of them were or was not qualified or had vacated office or were or was not entitled to vote, shall be as valid as if every such person had been duly appointed and had duly continued in office and was qualified and had not vacated office and was entitled to vote.

POWERS AND DUTIES OF DIRECTORS

108. The management of the business and affairs of the Association shall be vested in the directors who in addition to the powers and authorities by the Statutes and the memorandum of association of the Association and these Regulations or by any existing or future public or private Act of Parliament expressly conferred upon them may exercise all powers and do all acts and things which may be exercised or done by the Association and are not by the Statutes or the memorandum of association of the Association or these Regulations expressly directed or required to be exercised or done by the Association in general meeting but subject nevertheless to any of these Regulations, to the memorandum of association of the Association, to the provisions of the Statutes and to such regulations (not being inconsistent with the provisions of the Statutes or the memorandum of association of the Association or these Regulations) as may be prescribed by the Association in general meeting, but no regulation made by the Association in general meeting shall invalidate any prior act of the directors which would have been valid if such regulation had not been made.

109. Without prejudice to the general powers conferred by the immediately preceding Regulation and so as not in any way to limit or restrict such powers and without prejudice to the other powers conferred by these Regulations it is expressly declared that the directors shall have the following powers:—that is to say, power—

- (1) To appoint and employ managers, underwriters, secretaries, actuaries, cashiers and other officers, physicians, surgeons, solicitors, agents, local auditors, accountants, bankers, brokers, officers, clerks, servants and other persons for permanent, temporary or special services as the directors in their discretion may from time to time think fit for the management and carrying on of the business of the Association in the United Kingdom or in any other part of the world

and at the discretion of the directors to remove or suspend such officers and employees and to determine the duties of all such officers and employees and to allow and pay to all such officers and employees such salaries, commissions, charges, wages or other remuneration and to give to all such officers and employees such gratuities for extraordinary services as the directors may think fit and to require such security for the due and faithful discharge and performance by such officers and employees of the duties of their respective offices or employments as the directors may think fit and to establish or carry on or contribute to staff insurance and superannuation and benevolent funds or schemes (including sport or recreation funds or schemes) formed in the interests of such officers and employees or their dependants subject to such rules as the directors may from time to time think fit and to grant such pensions, allowances or gratuities to any of such officers and employees or their dependants as the directors may from time to time think fit;

- (2) To appoint from time to time such of the directors or officers of the Association or such other persons or corporations (resident or formed, as the case may be, in any part of the world) as the directors may think fit to be trustees for the Association and to cause any property of the Association to be vested in and any securities and investments of the Association to be taken in the names of not less than three of such persons if individuals or any one such corporation with such powers and on such terms and conditions as the directors may think fit and to revoke any such appointment and to authorise any such trustees to delegate all or any of the powers vested in such trustees;
- (3) To adopt such forms of policies, tables and rates of premiums and conditions of assurance, insurance, re-assurance and re-insurance as they may think proper and to vary the same as they may deem best for the advantage of the Association;
- (4) To authorise upon such conditions as they may think fit the general manager or any other officers of the Association to effect assurances and insurances of all kinds and to settle claims and losses;
- (5) To revive or continue on such terms and conditions as they may think fit any policy of assurance, insurance, re-assurance or re-insurance or endowment policy that may have become void or that may be in danger of becoming void and that either for the whole or for a reduced amount and for the whole or for a limited period and to accept the application of any person interested in such policy that any unpaid premium or premiums together with compound interest thereon at a rate to be fixed by the directors shall be created a charge on such policy which shall be deducted by the Association from the sum payable by it on such policy falling due;

- (6) To redeem any annuity or allow the surrender of any policy of any policy holder at such value and on such terms as they may think fit;
- (7) To purchase any annuity or any policy of any policy holder at such value and on such terms as they may think fit; and
- (8) To lay out and invest the paid-up capital and funds for the time being of the Association (in so far as the same shall not be required to satisfy the immediate claims on and expenses of the Association) in the name or under the control of the Association or in the name of trustees for the Association in or upon any investments (whether in bearer form, if that form should in any particular case exist, or otherwise) which the directors may decide and particularly in or upon any investments (whether in bearer form, if that form should in any particular case exist, or otherwise) for the time being authorised by law either in Scotland or in England or elsewhere for the investment of trust funds or in or upon any of the following investments (whether in bearer form, if that form should in any particular case exist, or otherwise) in the United Kingdom or elsewhere and that in all cases either by purchase thereof or by loans on the security thereof or by purchase of options therefor, namely:—

(a) lands, houses, buildings, tenements, heritages, messuages and hereditaments of every description and tenure and every estate and interest therein and right connected therewith including, without prejudice to that generality, feu-duties, ground annuals, ground rents, land rents, chief rents and rent charges arising out of or charged on lands;

(b) any ships or aircraft or other transportation vehicles, whether of British registry or not, or any estate or interest therein and any corporeal movables or chattels whatsoever or any estate or interest therein;

(c) the stocks, funds, bonds, annuities or other obligations or securities of or guaranteed by the Government of any country, state or province;

(d) the stocks, funds, bonds, debentures, loan stock, mortgages, annuities or other obligations or securities of or guaranteed by any county, municipal or other public corporation, public commissioners, public board, public trust or other public body or local authority having power to levy rates, dues or assessments and to borrow or raise money;

(e) the stocks, funds, bonds, debentures, loan stock, mortgages, annuities or other obligations or securities of any public corporation, public commissioners, public board, public trust or other public body having power to make charges for the supply of goods or services and to borrow or raise money;

(f) the bonds, debentures, loan stock, mortgages, annuities or other obligations or securities or the guaranteed or lien or preference or preferred or ordinary or deferred or common shares or stock, whether fully paid or not and whether having a par value or not, of any society, association, company, trust, corporation, board, banking or discount company, insurance company or other undertaking whatsoever;

(g) any policy of assurance, insurance, re-assurance or re-insurance, endowment policy, bond or contract of annuity, guarantee or like obligation issued by the Association or any other insurance office;

(h) any vested or contingent life or reversionary or other estate or interest in trust funds or estate or in securities or investments which the Association is authorised to hold or any such estate or interest in any sum or sums of money secured upon any such funds or estate, securities or investments and that with or without policies of life assurance;

(i) any personal obligation or security with the joint and several obligations of not less than one co-obligant and with or without further security;

(j) the deposit on such terms as the directors may think fit and whether temporarily or for any length of time with any county, municipal or other public corporation, public commissioners, public board, public trust or other public body or local authority or any banking, discount or hire-purchase company or building society or other financial or industrial or commercial institution authorised to take money on deposit; and

(k) any investments (whether in bearer form, if that form should in any particular case exist, or otherwise) of any class or description whatsoever which shall be authorised by any ordinary resolution of the Association in force for the time being;

and at their discretion to alter, change, sell or dispose of any such investments and again to lay out and invest the proceeds thereof from time to time in manner aforesaid.

110. The directors may exercise all the powers of the Association to borrow money and to mortgage or charge its undertaking, property and uncalled capital or any part thereof and to issue debentures and other securities, whether outright or as security for any debt, liability or obligation of the Association or of any third party or for any other purpose of the Association:

Provided that the amount for the time being remaining undischarged of moneys borrowed or secured by the directors as aforesaid (apart from sums of money borrowed on temporary loan from the bankers of the Association in the ordinary course of business) shall not at any time without the previous sanction of the Association in general meeting exceed twice the nominal amount of the share capital of the Association for the time being issued, but nevertheless no lender or

other person dealing with the Association shall be concerned to see or inquire whether such limit shall be observed. No debt incurred or security given in excess of such limit shall be invalid or ineffectual except in the case of express notice to the lender or the recipient of the security at the time when the debt shall have been incurred or the security shall have been given that such limit had been or was thereby exceeded.

111. The Association may exercise the powers competent to the Association by sections 119 to 123 (both inclusive) of the Act with regard to the keeping of a dominion register, and the directors may, subject to the provisions of the said sections, make and vary such regulations as they may think fit respecting the keeping of any such register.

112. A director may hold any other office or place of profit under the Association (except the office of auditor) in conjunction with the office of director and that for such period and on such terms as to remuneration and otherwise as the directors may think fit, and he may act by himself or by any firm of which he may be a member in a professional capacity for the Association (other than as auditor) for such remuneration as may be agreed by the directors. A director, notwithstanding his interest, may be counted in the quorum present at any meeting at which he or any firm of which he may be a member or any other director shall be appointed to hold any such office or place of profit under the Association or at which the terms of any such appointment shall be arranged, and he may vote on any such appointment or arrangement other than the appointment of himself or of any such firm or the arrangement of the terms of such appointment.

113. A director may be or become and continue to be a member, director or other officer of or otherwise interested in any company promoted by the Association or in which the Association may be interested as vendor, shareholder or otherwise, and such director shall not be accountable for any remuneration or other benefits received by him as a member, director or other officer of or from his interest in such other company unless the directors of the Association shall otherwise direct.

114.—(1) A director shall not be disqualified by his office as director from entering into or being in any way, whether directly or indirectly, interested in any contract or arrangement or proposed contract or arrangement with the Association either as vendor, purchaser or otherwise nor shall any such contract or arrangement be avoided by reason thereof nor shall a director so contracting or being so interested be liable by reason of holding that office or by reason of the fiduciary relationship thereby established to account to the Association for any profit realised by any such contract or arrangement:

Provided that the nature of the interest of a director so contracting or being so interested shall be declared by him at a meeting of the directors in accordance with section 199 of the Act:

Provided further that, except as provided in Regulation 112 hereof, a director shall not as such be entitled to vote in respect of such contract or arrangement, and, if he shall do so, his vote shall not be counted, nor shall he be counted in the quorum present at any meeting at which such contract or arrangement shall be taken into consideration, but such prohibitions shall not apply to—

- (a) any contract or arrangement for giving to any director any security or indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Association; or
- (b) any contract or arrangement for the giving by the Association of any security to a third party in respect of a debt or obligation of the Association for which any director himself shall have assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of a security; or
- (c) any contract or arrangement by any director to subscribe for, guarantee or underwrite shares, debentures or other obligations of the Association; or
- (d) any contract or arrangement with any other company in which any director shall be interested only as an officer or creditor or shareholder of such other company or as being beneficially interested in shares of such other company or with any firm in which any director shall be interested only as a member or creditor of such firm,

and the Association by ordinary resolution may at any time suspend or relax such prohibitions to any extent and either generally or in respect of any particular contract or arrangement and may ratify any contract or arrangement carried out in contravention of the provisions of this Regulation.

(2) Where a director shall be directly or indirectly interested in any assurance or insurance contract which shall in the ordinary course of business be effected through the general manager or the secretary or other proper officer of the Association, declaration of such interest to the general manager or the secretary or such other officer shall be deemed to be sufficient declaration of such interest for the purposes of this Regulation, and the general manager or the secretary or such other officer may deal with any such contract as regards terms, premium or otherwise as freely as he could if such director were not so interested.

LOCAL MANAGEMENT ETC.

115. The directors may from time to time provide for the management and transaction of the affairs of the Association in any specified locality, whether in the United Kingdom or elsewhere, in such manner as they may think fit, and the provisions contained in Regulations 116 to 119 (both inclusive) hereof shall be without prejudice to the general powers conferred by this Regulation.

116. The directors may from time to time by power of attorney under the seal of the Association appoint any company, firm or person or any fluctuating body of persons (whether nominated directly or indirectly by the directors) in any part of the world to be the attorney

of the Association for such purposes and with such powers, authorities and discretions (not exceeding those vested in or exercisable by the directors under these Regulations) and for such period and subject to such conditions as the directors may think fit, and any such power of attorney may contain such provisions for the protection and convenience of persons dealing with such attorney as the directors may think fit and may authorise such attorney to delegate all or any of the powers, authorities and discretions vested in him.

117. Without prejudice to the powers of the directors under the immediately preceding Regulation the general manager or the secretary may make, sign or execute powers of attorney, mandates or proxies in favour of any person in any part of the world to attend meetings and to vote thereat in name and on behalf of the Association in all questions which may be brought before such meetings but for no other purpose.

118.—(1) The directors may from time to time appoint any number of persons to be local boards or local directors for the Association in any specified locality, whether in the United Kingdom or elsewhere, for the purpose of carrying on the business of the Association thereat.

(2) The directors may confer on a local board or on a local director any powers vested in the directors (except the powers to issue shares, to make calls, to issue debentures or other obligations or to mortgage or charge any property of the Association) to be exercised within the specified locality for which such local board or local director shall have been appointed.

(3) The directors may pay to the members of a local board or to local directors such remuneration as the directors may think fit.

(4) The directors may from time to time make regulations for the guidance and government of local boards and local directors.

(5) The directors may fill any vacancy on a local board.

(6) The directors may at any time remove any member of a local board or any local director and may appoint another person in his stead and may at any time dissolve a local board for any cause whatsoever and, if they think fit, appoint another local board in its stead.

(7) Unless and until it shall be otherwise resolved by the directors it shall not be necessary for any member of a local board or any local director to be a shareholder.

119. The Association may exercise the powers conferred by section 35 of the Act with regard to having an official seal for use abroad, and such powers shall be vested in the directors.

SEAL

120. The directors shall provide for the safe custody of the seal, and the seal shall never be used except by the authority of the directors or of a committee of the directors authorised by the directors in that

behalf. Except as provided in Regulation 21 hereof every instrument, deed or writing to which the seal shall be affixed shall be signed as provided in Regulation 121 (1) hereof.

AUTHENTICATION OF INSTRUMENTS ETC.

121.—(1) Except as otherwise provided by these Regulations all instruments, deeds and other writings requiring execution or authentication by or on behalf of the Association shall be sufficiently executed or authenticated by being signed by—

(a) at least one of the directors and

(b) any other one of the directors or the general manager or the secretary or any other officer of the Association from time to time authorised by the directors;

and any such instrument, deed or writing so signed shall be equally binding whether attested by witnesses or not and whether executed under the seal or not:

Provided that the directors may from time to time delegate to any two of such officers of the Association authorised as aforesaid power to sign instruments, deeds and other writings on behalf of the Association, and any instruments, deeds and other writings so signed shall be equally binding as aforesaid.

(2) All instruments, deeds and other writings requiring to be executed or authenticated by or on behalf of the Association in any place not situate in the United Kingdom shall be sufficiently executed or authenticated by being signed by such person or persons as may be duly authorised by the directors.

(3) All policies of assurance, insurance, re-assurance or re-insurance, endowment policies, bonds or contracts of annuity, guarantees or like obligations and all notices and other such writings requiring execution or authentication by or on behalf of the Association and all declarations and affidavits requiring to be made by or on behalf of the Association shall be valid and effectual to all intents if they shall be signed or made by the general manager or the secretary or by any other officer of the Association from time to time authorised by the directors.

(4) All cheques, dividend warrants, promissory notes, drafts, bills of exchange and other negotiable instruments and all receipts for money paid to the Association shall be signed, drawn, accepted, endorsed or otherwise executed, as the case may be, by the general manager or the secretary or by any other officer of the Association from time to time authorised by the directors or in such other manner as the directors may from time to time determine.

DIVIDENDS

122.—(1) Subject to any preferred, deferred or other special rights or restrictions attached to any class or classes of shares pursuant to the provisions of these Regulations or otherwise such part of the balance standing at the credit of the profit and loss account of the Association as the directors may from time to time in their discretion determine shall be divided among and be paid by way of dividend to

the shareholders in proportion to the amounts of capital paid on the several shares in respect of which such dividend shall be paid and that in such manner and on such dates as shall be fixed by the directors. All dividends shall be apportioned and paid proportionately to the amounts paid on the shares during any portion or portions of the period in respect of which a dividend shall be paid, but, if any share shall be issued on terms providing that it shall rank for dividend as from a particular date, such share shall rank for dividend accordingly.

(2) Notwithstanding the foregoing provisions of this Regulation the directors may from time to time pay interim dividends of such amounts and on such dates as they may think fit and may also pay dividends on any class or classes of shares entitled to fixed preferential dividends on the dates prescribed for the payment thereof by the terms of the issue of such shares.

(3) Notwithstanding anything contained in these Regulations no sum which may be paid by a shareholder to and accepted by the Association in advance of calls on any share held by him shall entitle such shareholder in respect of such sum to any portion of a dividend declared in respect of any period before the date on which such sum would but for such payment become presently payable.

123. No dividend shall except with the consent of the Association in general meeting bear interest as against the Association.

124. The directors may deduct from any dividend payable to a shareholder in respect of a share all sums of money (if any) presently payable by him to the Association on account of calls in respect of or otherwise in relation to any share of the Association.

125. The directors may retain any dividend payable in respect of a share on which the Association shall have a lien and may apply the same in or towards satisfaction of the debts, obligations or prestations in respect of which such lien shall exist.

126. Payment by the directors of any unclaimed dividends payable in respect of shares into a separate account shall not constitute the Association a trustee in respect thereof, and any dividends payable in respect of shares unclaimed after a period of twenty years from the date when such dividends respectively shall have become payable shall be forfeited and shall revert to the Association.

127.—(1) Any dividend payable in cash in respect of a share may be paid by cheque or warrant sent through the post to the registered place of address of the shareholder of such share or to the place of address last known to the Association of any other person entitled in terms of these Regulations to receive payment of such dividend or, if such share shall stand in the register of members in the names of more persons than one, to the registered place of address of the person first named in the register of members or, if two or more persons (not being shareholders) shall be entitled in terms of these Regulations to receive payment of such dividend, to the place of address last known to the Association of any one of such persons or in any such case to such person and to such place of address as such shareholder or joint holders or person or persons entitled as aforesaid, as the case may be,

may by writing direct. Every such cheque or warrant shall be made payable to the order of the person to whom it shall be sent or to the order of such person as such shareholder or joint holders or person or persons entitled as aforesaid, as the case may be, may direct, and payment of such cheque or warrant, if purporting to be endorsed or appearing to be paid by the bank on whom it shall have been drawn, shall be a complete and sufficient discharge to the Association. Every such cheque or warrant shall be sent at the risk of such shareholder or joint holders or person or persons entitled as aforesaid, as the case may be.

(2) If any such cheque or warrant shall be lost or destroyed, then on such evidence of its loss or destruction and such indemnity being given as the directors may consider adequate the directors may issue a new cheque or warrant in lieu thereof.

128. If a share shall stand in the register of members in the names of more persons than one or if two or more persons shall under the provisions of these Regulations be entitled to receive payment of a dividend payable in respect of a share, any one of such persons may give a complete and sufficient receipt for any dividend payable in respect of such share.

CAPITALISATION OF PROFITS, ETC.

129.—(1) The Association in general meeting may on the recommendation of the directors resolve that it is desirable to capitalise any part of the amount for the time being standing to the credit of any share premium account or to the credit of the profit and loss account or otherwise available for distribution and not required for the payment or provision of the fixed dividend on any shares at the time entitled to fixed preferential dividends and accordingly that such sum be set free for distribution among the shareholders who would have been entitled thereto if distributed by way of dividend and in the same proportions or (subject to the provisions of Regulation 8 hereof) among one or more class or classes of such shareholders and in such proportions as the Association in general meeting may resolve on condition that the same be not paid in cash but be applied either in or towards paying up any amounts for the time being unpaid on any shares held by such shareholders respectively or paying up in full unissued shares or debentures of the Association to be allotted and distributed credited as fully paid up to and among such shareholders in the proportion aforesaid or partly in one way or partly in the other, and the directors shall give effect to such resolution:

Provided that any share premium account may for the purposes of this Regulation be applied only in the paying up of unissued shares to be issued to shareholders of the Association as fully paid shares.

(2) Whenever such a resolution as aforesaid shall have been passed the directors shall make all appropriations and applications of the sum resolved to be capitalised thereby and all allotments and issues of fully paid shares or debentures (if any) and generally shall do all acts and things required to give effect thereto and may make such provision by payment in cash or otherwise as they may think fit for the case of shares or debentures becoming distributable in fractions (but so that no shareholder shall be entitled to have issued to him any fraction

of a share or debenture as such) or may ignore such fractions altogether if they think fit. The directors may also authorise any person to enter on behalf of all the shareholders entitled thereto into an agreement with the Association providing for the allotment to them respectively credited as fully paid up of any shares or debentures to which they may be entitled on such capitalisation or (as the case may be) for the payment up by the Association on their behalf (by the application thereto of their respective proportions of the sum resolved to be capitalised) of the amounts or any part of the amounts remaining unpaid on their existing shares, and any such agreement made under such authority shall be effective and binding on all such shareholders.

ACCOUNTS, ETC.

130. The directors shall cause proper books of account to be kept with respect to—

- (a) all sums of money received and expended by the Association and the matters in respect of which such receipt and such expenditure shall have taken place;
- (b) all sales and purchases by the Association; and
- (c) the assets and liabilities of the Association.

Proper books of account shall not be deemed to be kept if there shall not be kept such books of account as shall be necessary to give a true and fair view of the state of the Association's affairs and to explain its transactions.

131. The books of account shall be kept at the registered office or (subject to section 147 (3) of the Act) at such other place or places as the directors may think fit, and they shall always be open to the inspection of the directors.

132. The directors shall from time to time determine whether and to what extent and at what times and places and under what conditions or regulations the accounts and books of the Association or any of them shall be open to the inspection of shareholders (not being directors), and no shareholder (not being a director) or any other person (except the auditor) shall have any right of inspecting any account or book or document of the Association except as conferred by the Statutes or authorised by the directors or the Association in general meeting or ordered by a court of competent jurisdiction.

133. The books of the Association shall be balanced as at the thirty-first day of December in each year or such other day as the directors may determine.

134. The directors shall from time to time in accordance with the provisions of the Statutes cause to be prepared and to be laid before the Association in general meeting such profit and loss accounts, balance sheets, group accounts (if any) and reports as may be necessary.

135. A printed copy of every balance sheet (including every document required by law to be annexed thereto) which is to be laid before the Association in general meeting together with a copy of the auditor's

report shall not less than twenty-one days before the date of such meeting be sent to every shareholder (whether he shall or shall not be entitled to receive notice of such meeting) and to every holder of a debenture of the Association (whether he shall or shall not be so entitled) and to any other person who shall be entitled to receive notice of such meeting from the Association in terms of these Regulations, and at the same time four printed copies of all such documents shall be sent to the Secretary of the Share and Loan Department, The Stock Exchange, London, and to the Secretary of every Stock Exchange upon the official list of which the shares of the Association may at its own request be quoted:

Provided that this Regulation shall not require a copy of such documents to be sent to any person of whose place of address the Association shall not be aware or to more than one of the joint holders of any share or debenture.

AUDITOR

136. The auditor of the Association shall be appointed and his rights and duties regulated in accordance with sections 159 to 162 (both inclusive) of the Act.

NOTICES, ETC.

137.—(1) A notice may be given or served by the Association to or on a shareholder whose place of address appears in the register of members to be in the United Kingdom either personally or by sending it prepaid through the post addressed to such shareholder at that place of address.

(2) A notice may be given or served by the Association to or on any person whomsoever (not being a shareholder) to whom the Association shall under the provisions of these Regulations require or shall desire to give a notice in connection with any matter whatsoever relating to a share either personally or by sending it prepaid through the post addressed to such person at his place of address last known to the Association. If the right of such person to such share or any interest therein shall not have been established to the satisfaction of the directors, such notice may in that case be given or served by the Association to or on such person by sending it prepaid through the post addressed to such person either by name or by the title or description borne by him in relation to such share at the registered place of address of the holder of such share according to the register of members.

138.—(1) A shareholder whose registered place of address shall not be in the United Kingdom or any other person who shall under the provisions of these Regulations be entitled to receive a notice from the Association in connection with any matter whatsoever relating to a share and whose place of address shall not be in the United Kingdom may from time to time intimate in writing to the Association at the registered office some place of address in the United Kingdom to be his place of address for the giving or service to or on him of any notice required under the provisions of these Regulations to be given or served

to or on him by the Association, and such notice may be given or served by the Association to or on such shareholder or such other person by sending it prepaid through the post addressed to such shareholder or such other person at such place of address in the United Kingdom.

(2) Notwithstanding anything contained in these Regulations any such shareholder or any such other person who shall not have intimated any such place of address in the United Kingdom shall not be entitled to receive any notice whatsoever from the Association.

139. When a share shall stand in the register of members in the names of more persons than one a notice may be given or served by the Association to or on the person first named in the register of members; and when two or more persons are entitled to a share in consequence of the death of a shareholder who shall have been the sole holder of such share or are the legal representatives or representatives in bankruptcy of a shareholder who shall have been the sole holder of a share and who shall have died or become bankrupt a notice may be given or served by the Association to or on any one of such persons. Such giving or service of a notice shall be deemed to be sufficient giving or service of such notice to or on all the holders of such share or to or on all such persons, as the case may be.

140. An intimation in writing of every change of name or place of address of a shareholder or any other person who shall under the provisions of these Regulations be entitled to receive a notice from the Association in connection with any matter whatsoever relating to a share shall be given by or on behalf of such shareholder or such other person, as the case may be, to the Association at the registered office, and in default thereof a notice may be given or served by the Association to or on such shareholder by sending it prepaid through the post addressed to such shareholder at the registered place of address of such shareholder or (but subject to the provisions of these Regulations) to or on such other person by sending it prepaid through the post addressed to such other person at his place of address last known to the Association, and such shareholder or such other person, as the case may be, shall be deemed to have received such notice.

141. A notice delivered at or sent prepaid through the post to the registered place of address of a shareholder or delivered at or sent prepaid through the post to the place of address in accordance with the provisions of these Regulations of any person (not being a shareholder) who shall under the provisions of these Regulations be entitled to receive a notice from the Association in connection with any matter whatsoever relating to a share, notwithstanding that such shareholder or person may be then deceased or bankrupt and whether or not the Association shall have notice of his death or bankruptcy, shall be deemed to have been duly given or served in respect of the share of such shareholder, whether held by such shareholder solely or jointly with another person, or the share to which such notice relates, howsoever such share may be held, as the case may be, and such giving or

service of such notice shall for all purposes be deemed to be a sufficient giving or service of such notice to or on the legal representatives of such shareholder or other person or the representative in bankruptcy, if any, of such shareholder or other person, as the case may be, and to or on any person who may be jointly interested with him in such share.

142. Every person who by the operation of law; transfer or other means whatsoever shall become entitled to a share shall be bound by all notices in respect of such share which prior to his name being entered in the register of members shall have been duly given or served or shall have been deemed to have been duly given or served to or on the person in whose name such share shall last have stood in the register of members and any person deriving right or title from such last-mentioned person.

143.—(1) A notice sent through the post shall be deemed to have been given or served on the day following that on which it shall have been posted, and in proving such giving or service it shall be sufficient to prove that such notice was properly addressed, prepaid and posted. A certificate in writing signed by the general manager or the secretary that such notice was so addressed, prepaid and posted shall be conclusive evidence thereof.

(2) Where any notice for a specified period shall be given or served or required to be given or served in terms of these Regulations, any such period shall be exclusive of the day on which such notice shall be given or served or deemed to be given or served and of the day for which it shall be given or served.

144. Notices and other such documents may be in writing or in print or partly in writing and partly in print.

145. The signature to a notice by or on behalf of the Association may be written or printed.

WINDING UP

146. If the Association shall be wound up, the liquidator may with the sanction of a special resolution of the Association and any other sanction required by the Act divide among the shareholders in specie or kind the whole or any part of the assets of the Association (whether or not the assets shall consist of property of one kind or shall consist of properties of different kinds) and may for such purpose set such value as he shall deem fair on any property to be divided as aforesaid and may determine how such division shall be carried out as between the shareholders or different classes of shareholders. The liquidator may with the like sanction vest the whole or any part of such assets in trustees upon such trusts for the benefit of the shareholders as the liquidator with the like sanction shall think fit but so that no shareholder shall be compelled to accept any shares or other securities whereon there shall be any liability.

INDEMNITY

147. Subject to the provisions of the Statutes every director, general manager, member of a local board, local director, agent, auditor, secretary and other officer for the time being of the Association shall be indemnified by the Association against and it shall be the duty of the directors out of the funds of the Association to pay all costs, charges, losses, expenses and liabilities which any such director or other officer as aforesaid may incur or become liable to by reason of any contract entered into or act or deed done by him as such director or other officer as aforesaid in any way in or about the execution or discharge of his duties or in relation thereto, and without prejudice to that generality every such director or other officer as aforesaid shall be indemnified out of the funds of the Association against any liability incurred by him in defending any proceedings, whether civil or criminal, relating to the affairs of the Association in which judgment shall be given in his favour or in which he shall be acquitted or in connection with any application relating to the affairs of the Association under section 448 of the Act in which relief shall be granted to him by the court.



Table of Statutes referred to in this Act

Short title				Session and chapter
Life Association of Scotland Act 1853	...			16 & 17 Vict. c. ccxxiv.
Life Association of Scotland Act 1888	...			51 & 52 Vict. c. xxi.
Interpretation Act 1889	...	...	...	52 & 53 Vict. c. 63.
Life Association of Scotland Act 1903	...			3 Edw. 7 c. xii.
Life Association of Scotland Act 1920	...			10 & 11 Geo. 5 c. cxxix.
Companies Act 1948	...	...	...	11 & 12 Geo. 6 c. 38.
Insurance Companies Act 1958	...	...	...	6 & 7 Eliz. 2 c. 72.

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